

US Networking & Communications Equipment

AI Value Chain: What do we need to believe to believe the AI build is healthy?



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In terms of calling the cycle, while there are different approaches to measuring and estimate supply, it's generally possible to underwrite well-informed forecasts for AI infrastructure supply. No matter how you slice it, AI infrastructure capacity is growing considerably. We anchor to hyperscaler capex dollars as a reasonable first order approximation, but GW supply or even compute capacity are arguably more meaningful approaches which all reach the same directional conclusion: the supply of AI infrastructure is increasing a lot.

However, perhaps due to a lack of imagination on our front, we are unable to come with a way to forecast long-term AI end user demand with any real conviction. As a result, we don't have high conviction forecasts for long term AI demand, and are skeptical of anyone who says that they do. This in turn makes it hard to have real conviction on when the AI supply demand balance might turn.

That said, we believe the assumptions needed to underwrite growth are plausible. We crudely estimate that hyperscalars will have brought ~\$1.2T worth of AI infrastructure online by 2027. Assuming a 15% ROI hurdle, that implies AI data center operators would need ~\$175B in net profits to justify the investment; at 24% net margins that implies ~\$729B in spend. This is about 3x Exponential View's estimate of \$229B in AI ARR in August. While this implies a pace of adoption which is faster than past adoption cycles, we believe that the AI adoption cycle has already outpaced past technology cycles, and that this doesn't appear out of line with the current pace of growth in the ecosystem. Accordingly, we believe that the assumptions needed to underwrite continued investment are plausible.

We observe that technology leaders continue to hold deeper conviction. We note that the conviction in AI leaders is underpinned by a belief in the scaling laws. Technology leaders continue to believe that 1) AI models' capabilities will continue to scale with greater compute and data; 2) expanding AI model capability will in turn unlock new addressable markets for AI based solutions and 3) there is enough end user willingness to adopt AI that delaying the availability of AI means forgoing revenues and growth.

Accordingly, we see model scaling and AI adoption as the key leading indicators.

Both signals appear positive, and accordingly we net out positive on the AI infrastructure trade as well.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	5 Oct 2026	Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
CLS (Celestica)	O	USD	382.69	520.00	48.4%	USD	6.06	11.35	23.79	63.2	33.7	16.1
ANET (Arista)	O	USD	206.90	250.00	26.8%	USD	2.96	4.11	5.61	69.8	50.3	36.9
CSCO (Cisco)	M	USD	112.82	110.00	53.7%	USD	3.73	4.33	5.11	30.2	26.1	22.1
LITE (Lumentum)	O	USD	1,091.67	1,220.00	591.3%	USD	2.05	8.37	22.40	533.7	130.4	48.7
COHR (Coherent)	O	USD	333.64	350.00	176.9%	USD	3.53	5.58	9.51	94.4	59.8	35.1
CIEN (Ciena)	O	USD	389.69	440.00	168.8%	USD	2.64	7.15	12.46	147.5	54.5	31.3
GLW (Corning)	M	USD	159.37	140.00	83.9%	USD	2.54	3.22	4.16	62.8	49.5	38.3
SPX			7,818.93									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate CLS, ANET, LITE, COHR, and CIEN Outperform. We rate CSCO and GLW Market-Perform.

VALUATION COMPS TABLE

TABLE 1: Networking and Communications Comps – Consensus Estimates

	Name	Ticker	Price	Currency adj.	Market Cap (\$B)	Price / Earnings		EV/ EBIT		EV/ Free Cash Flow		2026A-2028E CAGR			
						P/ 2026E EPS	P/ 2027E EPS	EV/ 2026E EBIT	EV/ 2027E EBIT	EV/ 2026E FCF	EV/ 2027E FCF	Revenue	EBIT	EPS	FCF
Bernstein Networking and Optical Coverage	ARISTA NETWORKS INC	ANET US Equity	204.49	206.90	260.95	91.15	69.43	84.09	64.21	67.35	58.23	33%	39%	32%	23%
	CIENA CORP	CIEN US Equity	379.14	389.69	55.26	214.12	147.61	335.57	283.05	147.96	84.04	28%	135%	87%	38%
	CELESTICA INC	CLS CN Equity	545.98	383.06	48.30	98.73	63.32	81.07	46.68	160.34	106.01	55%	73%	72%	20%
	COHERENT CORP	COHR US Equity	319.19	333.64	65.34	199.78	94.52	699.36	231.90	337.95	348.74	31%	198%	78%	-201%
	CISCO SYSTEMS INC	CSCO US Equity	108.76	112.82	444.80	30.25	29.61	37.77	39.12	45.06	34.62	11%	28%	11%	22%
	CORNING INC	GLW US Equity	160.42	159.37	137.28	81.31	63.24	127.51	63.50	148.58	102.42	17%	68%	30%	38%
	LUMENTUM HOLDINGS INC	LITE US Equity	1,045.78	1,091.67	97.92	1,080.86	529.94	(223.17)	(537.79)	(894.33)	(925.08)	67%	-281%	178%	-308%
	Median				97.92	98.73	69.43	84.09	63.50	147.96	84.04	31%	68%	72%	22%
Enterprise Networking	EXTREME NETWORKS INC	EXTR US Equity	23.33	23.33	3.08	72.91	27.77	(47.03)	180.92	82.06	24.08	8%	-254%	60%	65%
	HEWLETT PACKARD ENTERPRISE	HPE US Equity	64.58	68.36	90.75	34.35	35.24	47.87	(239.90)	53.11	167.20	22%	56%	33%	39%
	UBIQITI INC	UI US Equity	609.29	609.29	36.88	103.80	55.59	72.84	43.46	68.64	57.93	25%	41%	44%	22%
	Median				69.52	82.03	45.41	60.86	48.07	68.00	58.00	24%	40%	39%	23%
Optical Transport	NEC CORP	6701 JT EQUITY	4,927.00	31.20	42.52	40.13	36.14	33.83	26.16	32.44	30.78	0%	29%	24%	-48%
	FUJITSU	6702 JP EQUITY	4,063.00	25.73	44.71	27.40	32.41	40.63	24.15	53.51	44.77	-5%	36%	7%	31%
	NOKIA	NOKIA FH EQUITY	9.17	10.29	58.98	24.39	31.38	26.74	62.90	26.15	34.52	7%	14%	3%	-1%
	Median				44.71	30.25	31.38	37.77	26.16	32.44	34.52	7%	29%	11%	-1%
Optical Components	APPLIED OPTOELECTRONICS INC	AAOI US Equity	121.57	121.57	10.28	(153.89)	(467.58)	(142.15)	(184.61)	(89.26)	(28.51)	126%	-294%	-280%	85%
	FABRINET	FN US Equity	453.84	453.84	16.26	51.11	44.63	55.13	47.17	41.86	73.84	28%	34%	26%	-1%
	INNOLIGHT	300308 CH Equity	808.44	120.55	143.31	188.74	89.28	172.04	75.77	3,697.59	123.68		147%	133%	460%
	EOPTELINK TECH-A	300502 CH EQUITY	389.00	58.00	80.90	204.63	60.71	189.25	54.67	(692.05)	90.27	126%	148%	139%	-453%
	Median				79.12	194.26	74.99	113.59	50.92	(23.70)	82.06	67%	91%	106%	-101%
AI Interconnect	ASTERA LABS INC	ALAB US Equity	362.34	362.34	62.86	431.36	196.92	(462.25)	309.37	523.79	190.42	99%	-318%	98%	149%
	BROADCOM INC	AVGO US Equity	362.51	362.51	1,730.49	74.44	53.15	131.17	69.30	90.96	65.61	50%	104%	58%	65%
	CREDO TECHNOLOGY GROUP HOLDI	CRDO US Equity	212.48	212.48	39.94	2,360.89	303.54	(1,057.60)	1,055.72	2,293.97	1,350.44	135%	-424%	312%	272%
	MARVELL TECHNOLOGY INC	MRVL US Equity	271.25	271.25	237.86	179.64	172.77	(421.37)	(332.10)	231.30	171.28	30%	-299%	41%	38%
	Median				237.86	98.73	69.43	37.77	64.21	90.96	65.61	33%	-169%	41%	23%

Source: Bloomberg (as of 10/05/26), Bernstein analysis

DETAILS

We initiated on Networking and Communications Equipment last week; you can find our initiation here: [US Networking: Scaling the bandwidth wall. Initiating with a positive view](#). Our positive view on the sector is underpinned by our generally positive view on the AI trade at a thematic level. In this note, we summarize our top down view of the theme.

THE AI BONANZA GOES ON

We continue to be positive on AI in both the short-, medium- and long-term, and see upside to AI infrastructure exposed names.

While it is still possible we will have an overbuild at some point, demand continues to exceed supply and the assumptions needed to underwrite continued investments do not appear aggressive compared to the pace of adoption thus far. Both point to a higher-for-longer cycle. We also see model capability as a key leading indicator, and scaling remains positive. For more details on the AI build more broadly, see our Blackbook: [Artificial Intelligence: The AI Infrastructure Value Chain](#).

In the short-term, the AI infrastructure trade is about the willingness of AI data center operators to keep spending.

We have clear visibility to continued near-term capex. The investment is underpinned by the continued conviction of technology leaders to invest in AI - and with demand signals as positive as they are, if anything that conviction is likely to strengthen rather than weaken.

- **The visibility to near-term growth for AI infrastructure is clear.** AI infrastructure names are largely selling to AI data center operators, and guided data center capex is growing a lot: Consensus is now expecting data center capex to reach \$1.3T in 2027E, up from ~\$259B in 2024 (Exhibit 1 & Exhibit 2).
- **This investment is underpinned by the continued conviction of technology leaders to invest in AI, and there are real data points supporting this conviction.** While it is not uncommon for Wall Street to scoff at Silicon Valley's positivity, there are real data points that support this conviction. Four years into the AI data center build, Exponential View's State of the AI Economy report ([link](#)) sized AI ARR at \$229B as of August 2026, up 3x YTD. Anthropic has seen revenues grow 7x YTD and has seen user growth outpace that. AI adoption is outpacing every past technology adoption cycle we have data on (Exhibit 3). Similarly, concurrent indicators suggest that demand exceeds supply across the AI infrastructure stack, with Nebius¹ reportedly hiking GPU rental prices ([link](#)) and memory/storage prices continuing to run hot (Exhibit 4- for more details see: [MEMORY TRACKER \(Aug\): Conventional DRAM & NAND price to rise nearly 20% in 3Q26](#)). Accordingly, it appears rational for data center investors to continue to building out capacity, at least in the near term.

In the medium-term, trading AI infrastructure depends on whether AI demand is sufficient to drive a healthy data center ROI. We believe that the assumptions needed to underwrite this are not aggressive.

Looking past near-term capex plans and committed orders, believing in continued growth in AI infrastructure means believing that AI data center operators can underwrite a healthy ROI on continued infrastructure investments. We attempt to estimate "what you need to believe" in order to believe in a sustainable build-out - starting with hyperscaler capex assumptions, assuming an ROI hurdle of ~15%, and backing into the sizes of the IaaS market and end-user spend in order to achieve that hurdle. We find that end-user spend would need to be ~\$730B in 2027E, about 3x current estimates for ARR (Exhibit 5). While this implies a pace of adoption which is faster than past technology cycles, we observe that the AI adoption cycle has already been extremely fast (Exhibit 6 and Exhibit 7), outpacing past technology cycles (Exhibit 3, again), and this adoption pace does not appear aggressive compared to the current pace; Exponential View estimates that AI ARR is up 3.5x YoY ([link, again](#)) depends on whether AI adoption (and thus demand) can continue to outpace infrastructure capacity, translating to a healthy ROI.

Longer-term, it's hard to have deep conviction, but we see model scaling as the key leading indicator, and the scaling laws look intact. Accordingly, we skew positive.

It's easy to wave off long-term concerns with the observation that the TAM is clearly huge, but cost deflation has historically been one of the defining characteristics of the industry. As a result, it's not enough for demand to grow, but it must also outgrow the natural supply growth from decreasing costs. However, we see the scaling of model performance as a key long-term leading indicator, in part because as long as the scaling laws are intact, excess capacity will likely be reinvested into training new and more capable models that can unlock new use cases. We believe that this leading indicator looks intact, and are willing to extrapolate demand growing at least in line with supply as long as that remains the case.

- **Long-term, cost deflation has historically been one of the defining characteristics of the industry...** Historically, the technology infrastructure industry has been defined by massive cost deflation: Moore's Law implies that semis and hardware computing costs should decline by a staggering 30% CAGR over time. AI is clearly not an exception. The GPUs

that underpin the AI computing build-out have actually seen NVIDIA deliver a 1,000x performance increase from the K20X in 2012 to the H100 in 2022 (roughly 100% CAGR over 10 years). Progress is also continuing, with Rubin boasting a 5x performance increase in inference and 3.5x in training over Blackwell. That creates a strong incentive to match the pace of capacity build-outs to that of end-user adoption (why buy anything you don't need today if it will be 30% cheaper next year?). As a result, it is not hard to imagine a scenario where the build-out outpaces end-user adoption, causing operators to pull back on investment until demand grows into their capacity. Accordingly, bubble fears have been around since the beginning (for our July 2023 take, see: [AI Infrastructure: The build-out is huge. Bonanza or bubble?](#)).

- **... it's hard to have real conviction about the long term, but the demand outlook certainly looks good, and elasticity has been sufficient to translate cost deflation into greater usage...** It's easy to wave off questions about the long-term outlook by saying that the TAM is clearly huge. And to be clear, we think it IS huge (Exhibit 8 - for more details, see our note: [The Intelligence Revolution: How big is it? And what signposts are we looking for along the way?](#)). But the history of hardware and networking shows that, in an industry dominated by cost deflation, it's not good enough for demand to grow - in order for the industry to grow, demand also needs to outgrow the natural supply growth that comes from decreasing costs. But we also observe that there are very few examples of investors successfully calling a cycle by building 10-year supply and demand forecasts and pointing to where the supply and demand curves cross. We don't claim that we can predict where AI adoption will be in 2030, and are skeptical of anyone who says they can. So far though, demand has clearly outgrown supply, in part because elasticity has been sufficient to translate cost declines into greater usage.
- **... We see model performance as a key long-term leading indicator, and so far it looks pretty good.** We also observe that as long as technology leaders believe that model capability continues to scale with greater compute, and that higher capability models will unlock new use cases and expand the TAM, there is potential to smooth over near-term air pockets by redeploying compute capacity to training. This has arguably already happened, when end user demand seemed to decelerate in the back half of 2024, before re-accelerating with greater adoption of chain-of-thought and the launch of Claude Code in early 2025 (for more details, see: [AI Infrastructure: Revisiting the Gen AI scaling math - is inferencing really as big as we think?](#)). We also observe that this belief in the scaling laws appears well supported by the historical track record: looking at the OSWorld agentic task benchmark, models show steady improvement, and the launch of models that surpass the human-level benchmark with GPT 5.4 in March 2026 lines up well with the inflection in agentic adoption (Exhibit 9). With that in mind, as long as model capability continues to improve and new use cases continue to open up, we are comfortable extrapolating demand as outgrowing supply.

On net, the range of outcomes is wide, but we see more upside than downside to AI capex expectations, and view risk/reward on AI infrastructure stocks as positive. The leading and concurrent indicators that we track appear healthy, the supply-demand balance looks favorable and key decision-makers appear to have conviction in continued spend. Moreover, we suspect that hyperscalers may still be sandbagging capex expectations, given the track record of repeated capex guidance increases and the fact that the semiconductor ecosystem seems to imply higher numbers than hyperscaler guidance. On net, we see more upside than downside to AI capex, and view risk/reward on AI infrastructure stocks as positive. While it's probably true that the foreseeable future in this space is not a very long time, and the degree of visibility in the space appears to drop off beyond 2028, we note that this does not necessarily imply that 2028 will mark the peak; after all, it was not such a long time ago that bears were arguing that the degree of visibility drops off beyond 2026. It is easy to envision a scenario where AI spend sees a sharp digestion and eventually settles into a steady state below current levels. But it is also hard to rule out the scenario where AI models simply keep getting bigger and better until they achieve artificial superintelligence and supplant humanity - in which case the AI industry will scale as fast as supply permits until reaching that point, and mere humans like ourselves could scarcely hope to predict what happens afterwards.

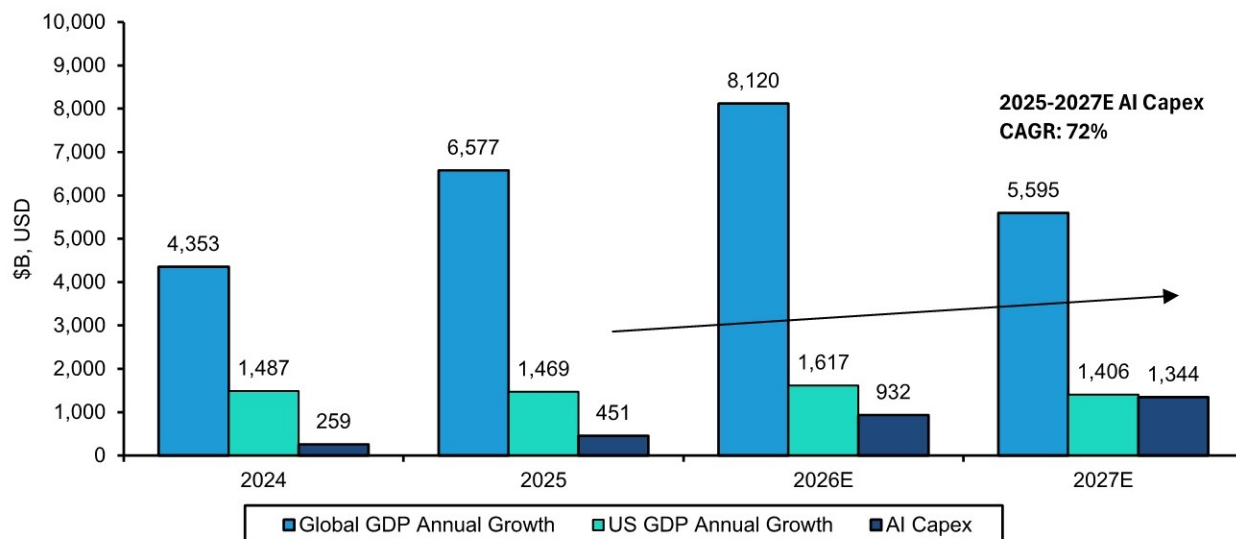
Within AI infrastructure, we believe networking and optical companies to be structural winners, and initiate on the sector with a positive skew. Networking is the 3rd biggest area behind compute and memory/storage. As performance improvement in bandwidth has lagged compute, networking is increasingly the bottleneck in AI use cases, supporting higher specs and pricing. Adjusting for the shift from 2 chiplets to 4, we expect accelerator volumes to double through 2028, and for AI back-end switching to outpace that growth (Exhibit 10 & Exhibit 11). We also expect Arista and Celestica to continue to gain share.

The Muse moment: Time to size-up AI longs? The AI trade has corrected after overheating in the first half of 2026, and many AI stocks are trading below May-June peaks. However, revisions to fundamentals have continued to be positive, leading to multiples that appear increasingly undemanding - and given our belief in upside to numbers for outperforms, we believe the true multiples are even cheaper. We observe that the 1H rally was driven by upward revisions in hyperscaler capex. With inflecting demand for consumer AI following Meta's launch of Muse, we believe that this could open the door for further guidance

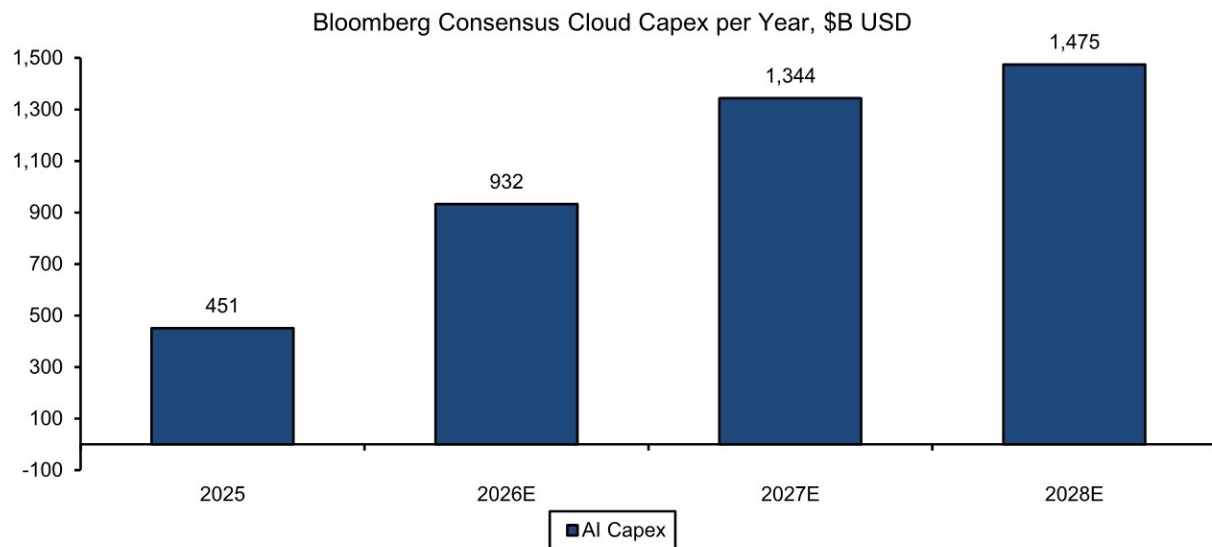
revisions, potentially driving a rally in AI stocks.

- **The AI trade has corrected after overheating in the first half, and many AI stocks are trading below May-June peaks.** While fundamental data points were clearly positive, the AI trade appeared to overheat, driving investors into crowded longs and exhausting incremental buyers. This created an environment where non-fundamental catalysts could spark a correction, as we saw with the de-leveraging of Korean retail traders and the blow-up of Situational Awareness' highly levered public book. As a result, many stocks are now trading below May-June peaks.
- **Valuations have now come in, and many multiples are starting to look inexpensive on our numbers.** However, while stock prices have come in, fundamental revisions continued to trend upwards. Given that we see upside to numbers for many of our stocks, we believe that these revisions are justified - or even understated. Accordingly, the valuation multiples on many AI stocks have begun to look more attractive, improving risk-reward (Exhibit 12).
- **Muse could open the door for further guidance revisions, potentially driving a further rally in AI stocks.** We note that the 1H rally was driven by upward revisions in hyperscaler capex. With inflecting demand for consumer AI following Meta's launch of Muse (we also believe competitors are likely to launch copycats, especially given the widely anticipated Google Gemini 4 launch), we believe the door is open for Meta and other hyperscalers to take up capex expectations further. This could drive a rally in AI stocks, especially for Ciena and Arista, since Meta is a key customer for both.
- **We're a little more unsure on what to make of the Anthropic IPO.** While IPO prospectus numbers viewed by Reuters ([link](#)) are somewhat underwhelming, we also observe that they are largely for full year 2025. Anthropic has reportedly increased ARR over 7x YTD (Exhibit 6, again) and reached FCF breakeven. We suspect that the muted reaction to the Reuters report in Asia trading is because full year 2025 numbers are not necessarily reflective of Anthropic's business today, limiting the value of the incremental data point. Anthropic's IPO (currently expected for November or December) may be a meaningful catalyst. However we lack conviction in the direction: the IPO is likely negative for our stocks from a flows perspective, but anything Anthropic could disclose which would increase confidence in the sustainability of spend may outweigh the outflows into the IPO.
- **March will be another catalyst-rich period.** Beyond potential capex revisions in the October earnings cycle, we also expect March 2027 to be a catalyst rich period, between OFC from March 7-11 and Nvidia GTC on March 14-18 (in which Nvidia is expected to disclose further details about Feynman), with potential for companies to give positive upside ahead of April earnings.

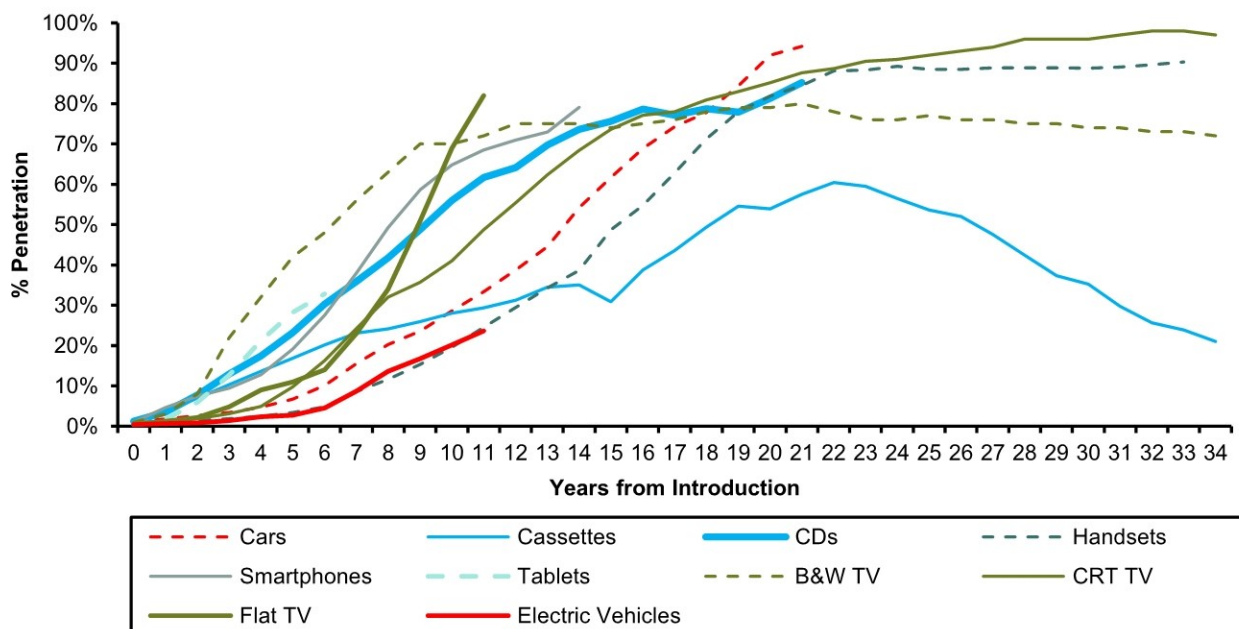
EXHIBIT 1: **AI total capex is predicted to equal nearly 20% of GDP growth by 2027**



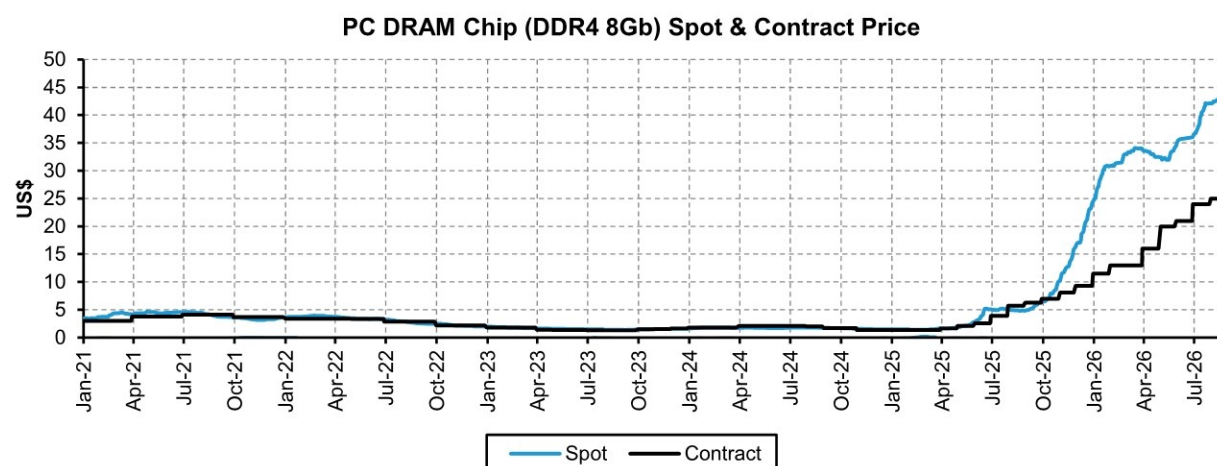
Source: IMF 2026, Bloomberg (updated as of 10/05/26), Bernstein Asia Tech Hardware Team (Wang)

EXHIBIT 2: AI Capex, already at a multibillion dollar value, continues to grow

Source: Bloomberg (updated as of 10/05/26), Reuters, CNBC, Bernstein estimates and analysis

EXHIBIT 3: Historical Adoption Curves for Disruptive Consumer Technologies

Source: Bernstein estimates and analysis

EXHIBIT 4: **PC DRAM Prices continue to rally in August**

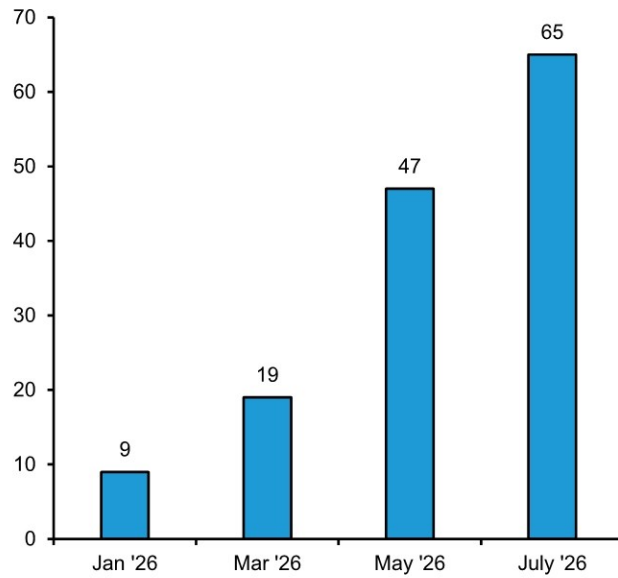
Source: DRAmEXchange, Bernstein Global Memory Team (Mark Li)

EXHIBIT 5: **Hyperscalers earn healthy ROI on existing AI capex; the assumptions needed to underwrite continued investments are plausible**

In US\$ B	2024	2025	2026	2027	2028
Total capex	259	451	932	1,344	1,475
Incremental capex	99	292	773	1,184	1,315
Cumulative incremental capex	101	393	1,166	2,350	3,666
1-year lagged cumulative capex	2	101	393	1,166	2,350
Assume ROI needed	15%	15%	15%	15%	15%
Incremental profit needed	0.3	15.2	59.0	174.9	352.6
IaaS Net Margin	24%	24%	24%	24%	24%
IaaS Revenue	1	63	246	729	1,469
IaaS Cost as % of End User Spend	100%	100%	100%	100%	100%
Labor Contribution to GDP	63,579	67,987	70,645	75,437	82,742
% White Collar	67%	67%	67%	67%	67%
Productivity Increase	30%	30%	30%	30%	30%
Addressable opportunity	12,695	13,575	14,106	15,063	16,522
Spend as % of opportunity	0.0%	0.5%	1.7%	4.8%	8.9%

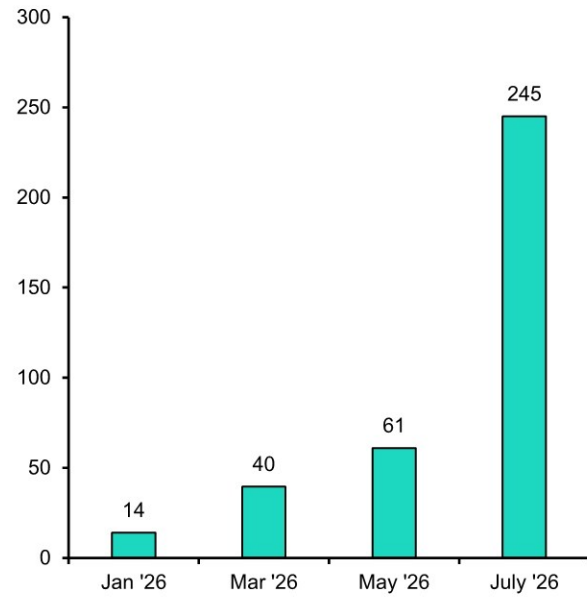
Source: IMF, Bloomberg (updated as of 10/05/26), Bernstein estimates and analysis

EXHIBIT 6: Anthropic 2026 Revenue Run Rate, \$B USD



Source: Anthropic, Bloomberg, Sensor Tower, Yahoo Finance, VentureBeat, SaaStr, Bernstein analysis

EXHIBIT 7: Anthropic 2026 MAU, B



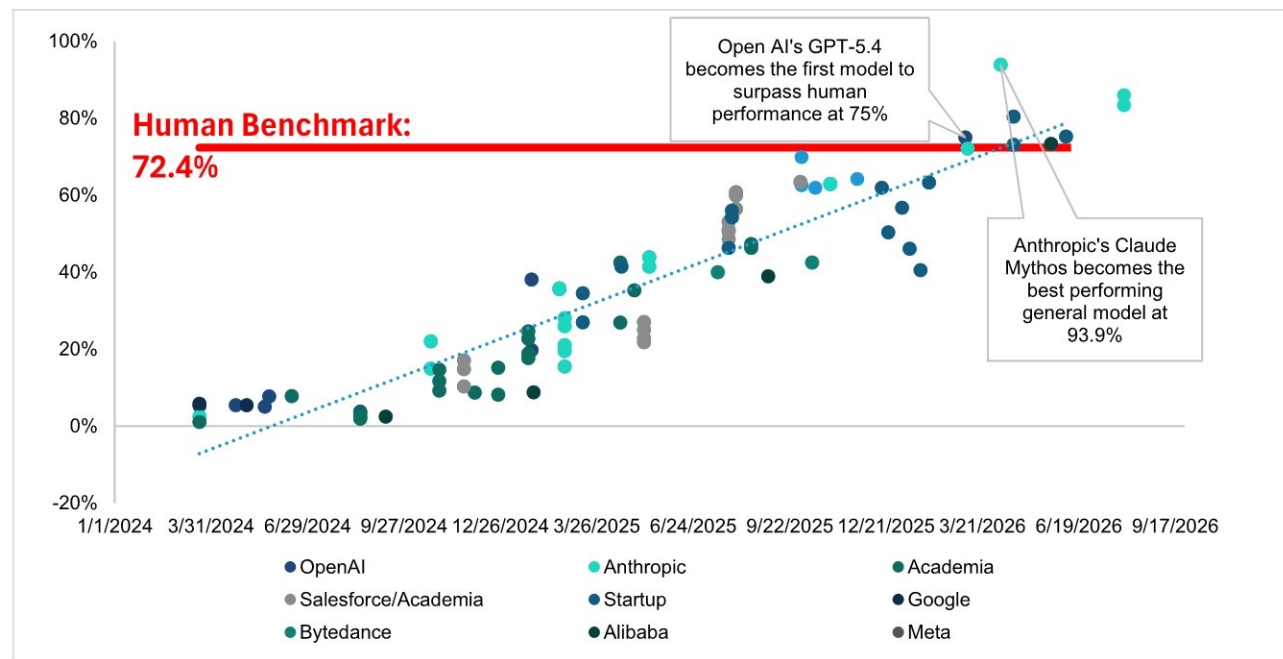
Source: Anthropic, Bloomberg, Sensor Tower, Yahoo Finance, VentureBeat, SaaStr, Bernstein analysis

EXHIBIT 8: Bernstein AI infrastructure model – bull case

AI TAM	2024	2030
IMF GDP Forecast	109,569	132,106
<i>IMF GDP growth</i>	3.2%	3.1%
Total GDP	109,569	166,279
<i>Imputed GDP growth</i>	3.2%	10.5%
Labor % of GDP	53.8%	53.8%
Labor contribution to GDP	58,948	89,458
Global Labor Force	3.651	3.651
Average productivity per worker	16,146	24,503
<i>% of workers addressable</i>	62.7%	62.7%
Addressable users	2.29	2.29
Daily average users (M)	60	2,289
<i>User growth (%)</i>	361.5%	0.2%
<i>User penetration (%)</i>	2.6%	100.0%
Average productivity increase per user (%)	15.0%	100.0%
Productivity increase per user	2,417	24,503
Aggregate productivity increase	145	56,088
Enterprise IT ROI requirement	5x	5x
Enterprise AI Willingness to Pay	29	11,218
Potential productivity increase	5,535	56,109
Enterprise AI TAM	1,107	11,222

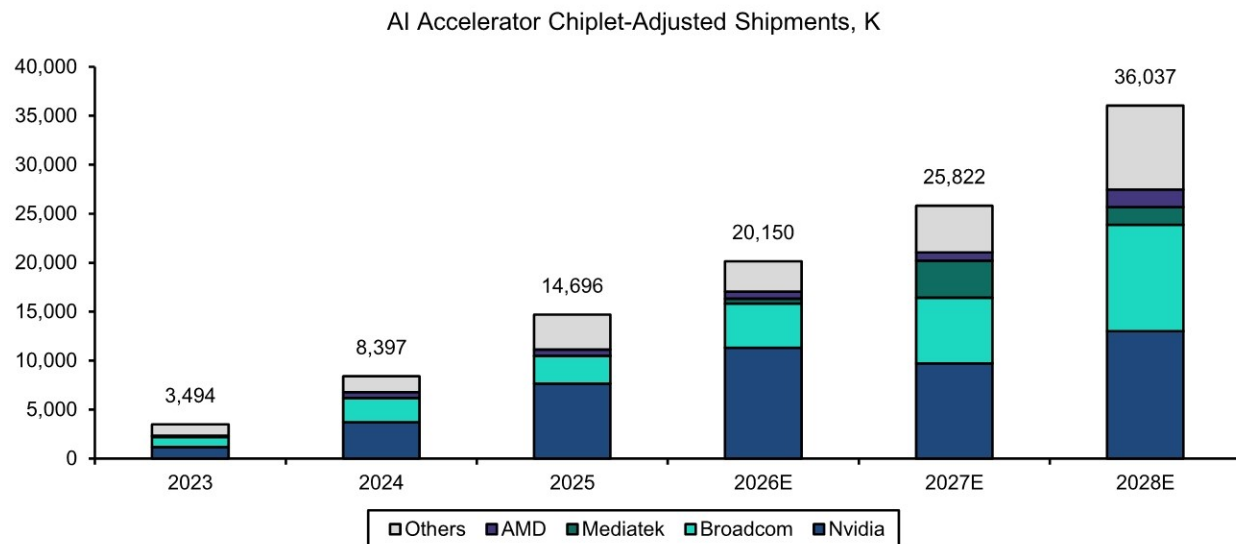
Source: Anthropic Economic Index, IMF, Bernstein estimates and analysis

EXHIBIT 9: Performance of Models on OSWorld's Agentic Coding Test vs. Human Performance

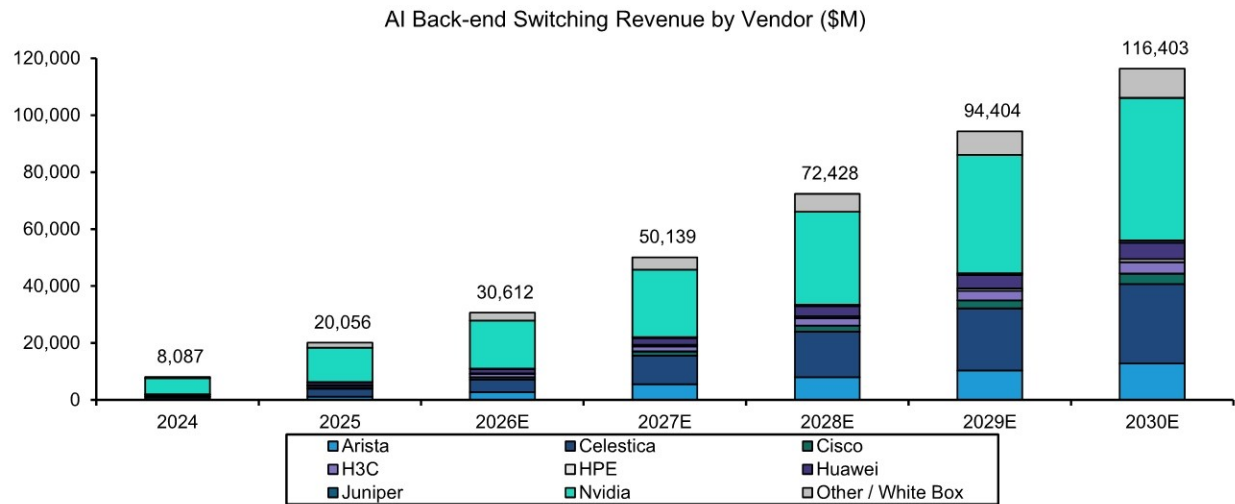


Source: OSWorld benchmark as of 09/29/2026, Anthropic Reports as of 06/17/2026, Bernstein estimates and analysis

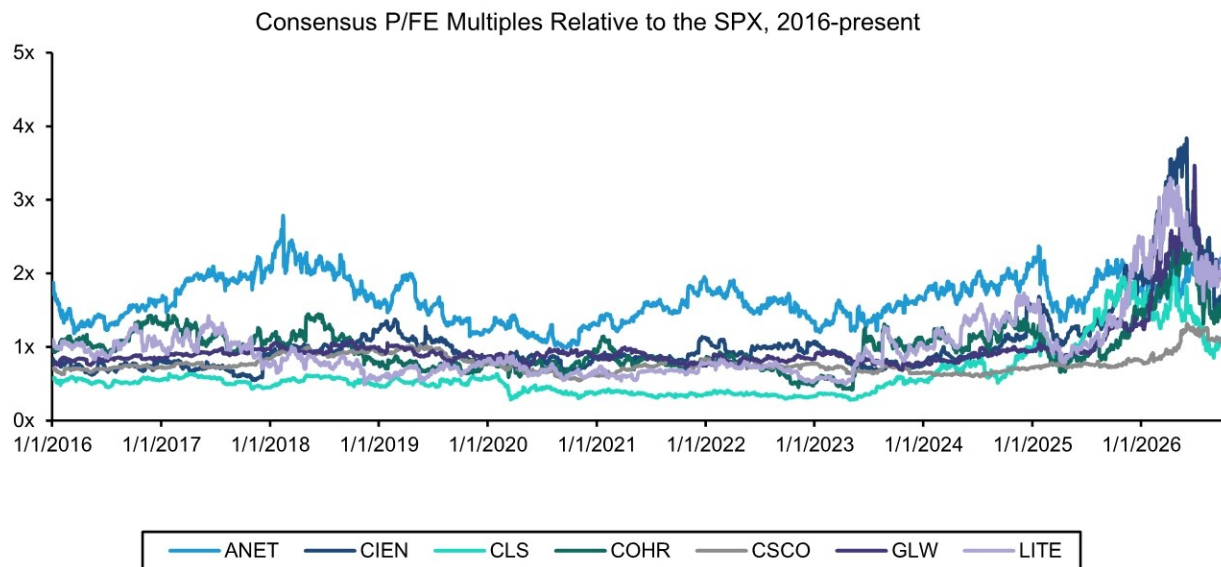
EXHIBIT 10: We expect accelerator chiplet volumes to double 2025-28E and switch ports to grow proportionally



Source: Bernstein Asia Semiconductors and Equipment & Global Memory team (Mark Li)

EXHIBIT 11: **We expect AI back-end switching to outpace chiplet shipment growth**

Source: Dell'Oro, Bernstein estimates and analysis

EXHIBIT 12: **Stocks have cooled down since the summer run up**

Source: Bloomberg as of 10/05/2026, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 13: Celestica: Operating Model

Celestica Inc - Operating Profit Model		12/31/2025	12/31/2026	12/31/2027	12/31/2028	3/31/2025	6/30/2025	9/30/2025	12/31/2025	3/31/2026	6/30/2026	9/30/2026	12/31/2026
In US\$ M unless otherwise specified		2025A	2026E	2027E	2028E	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26A	3Q26E	4Q26E
Revenue Drivers													
Non-GAAP Revenue													
Advanced Technology Solutions (ATS)		3,202.4	3,514.6	3,901.2	4,096.3	807.2	819.1	781.0	795.1	806.0	888.3	906.0	914.4
Communications		7,126.4	11,594.7	23,769.0	38,030.5	1,427.7	1,641.2	1,942.9	2,114.6	2,410.6	2,653.2	3,147.5	3,383.4
Enterprise		2,062.1	5,372.2	12,356.1	16,063.0	413.7	433.1	470.1	745.2	830.4	1,157.1	1,372.7	2,012.0
Connectivity & Cloud Solutions (CCS)		9,188.5	16,966.9	36,125.2	54,093.5	1,841.4	2,074.3	2,413.0	2,859.8	3,241.0	3,810.3	4,520.2	5,395.4
Total Revenue		12,390.9	20,481.5	40,026.4	58,189.7	2,648.6	2,893.4	3,194.0	3,654.9	4,047.0	4,698.6	5,426.2	6,309.8
Non-GAAP Revenue Growth													
Revenue growth % (YoY)													
Advanced Technology Solutions (ATS)		1.5%	9.7%	11.0%	5.0%	5.1%	6.7%	-4.1%	-1.3%	-0.1%	8.4%	16.0%	15.0%
Communications		82.5%	62.7%	105.0%	60.0%	90.1%	75.9%	85.1%	80.6%	68.8%	61.7%	62.0%	60.0%
Enterprise		-20.3%	160.5%	130.0%	30.0%	-40.0%	-37.4%	-26.0%	31.0%	100.7%	167.2%	192.0%	170.0%
Connectivity & Cloud Solutions (CCS)		41.6%	84.7%	112.9%	49.7%	27.8%	27.7%	43.2%	64.4%	76.0%	83.7%	87.3%	88.7%
Intersegment / Other													
Total Revenue Growth (YoY)		28.5%	65.3%	95.4%	45.4%	19.9%	21.0%	27.8%	43.6%	52.8%	62.4%	69.9%	72.6%
Reference: Industry model estimate for communications				127.0%	58.9%								

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 14: Celestica: Financial Model

Celestica Inc - Financial Model <i>In US\$ M unless otherwise specified</i>	12/31/2025	12/31/2026	12/31/2027	12/31/2028	3/31/2025	6/30/2025	9/30/2025	12/31/2025	3/31/2026	6/30/2026	9/30/2026	12/31/2026
	2025A	2026E	2027E	2028E	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26A	3Q26E	4Q26E
Income Statement												
Non-GAAP Income Statement												
Revenue	12,390.9	20,481.5	40,026.4	58,189.7	2,648.6	2,893.4	3,194.0	3,654.9	4,047.0	4,698.6	5,426.2	6,309.8
COGS	10,975.9	18,143.1	35,456.5	51,546.1	2,357.1	2,555.7	2,819.6	3,243.5	3,588.7	4,159.9	4,804.0	5,590.5
Gross Profit	1,415.0	2,338.4	4,569.9	6,643.7	291.5	337.7	374.4	411.4	458.3	538.7	622.1	719.3
SG&A	364.0	416.9	732.8	791.8	85.0	87.8	94.4	96.8	91.0	104.1	108.8	113.0
R&D	118.2	203.1	320.2	698.3	17.6	34.0	36.4	30.2	41.2	46.3	53.5	62.2
Other	5.8	7.9	15.4	22.4	1.1	1.2	1.4	2.1	0.9	2.0	2.3	2.7
Opex	488.0	627.9	1,068.4	1,512.5	103.7	123.0	132.2	129.1	133.1	152.4	164.5	177.9
Operating Income	927.0	1,710.5	3,501.5	5,131.2	187.8	214.7	242.2	282.3	325.2	386.3	457.6	541.5
Other income (expense), net:	52.6	62.9	62.9	62.9	13.7	13.5	12.8	12.6	16.0	17.4	14.9	14.6
Pre-tax Income	874.4	1,647.6	3,438.6	5,068.3	174.1	201.2	229.4	269.7	309.2	368.9	442.7	526.9
Income Tax	171.2	331.1	691.0	1,018.5	34.0	40.0	46.3	50.9	59.7	73.5	90.8	107.1
Effective Tax Rate %	19.6%	20.1%	20.1%	20.1%	19.5%	19.9%	20.2%	18.9%	19.3%	19.9%	20.5%	20.3%
Net Income	703.2	1,316.5	2,747.6	4,049.8	140.1	161.2	183.1	218.8	249.5	295.4	351.8	419.8
Diluted Share Count	116.1	116.0	115.5	115.0	116.9	115.9	115.9	115.9	115.7	116.2	116.1	116.0
Earnings per Share	6.06	11.35	23.79	35.21	1.20	1.39	1.58	1.89	2.16	2.54	3.03	3.62
Growth												
Drivers												
GAAP Net Income Reconciliation												
Adjusted Non-GAAP PF Net Income (Loss)	703	1,317	2,748	4,050	140.1	161.2	183.1	218.8	249.5	295.4	351.8	419.8
Share-based compensation	70	108	191	277	26	15.2	15.6	13	30.5	19.3	28.4	30.1
Amortization of intangible assets	40	67	-	72	10	9.9	10	9.9	10	19.3	19.1	18.5
Non-GAAP adjustments to tax	(21)	(16)	-	-	(6.5)	6.3	(3.2)	(17.1)	(15.7)	(0.7)	-	-
Others	(89)	(143)	-	-	(29.5)	(31.4)	(22.4)	(5.8)	(24.8)	(37.9)	(41.2)	(39.5)
GAAP PF Net Income (Loss)	833	1,337	2,557	3,701	86.2	211	267.8	267.5	212.3	368.8	345.5	410.8
	(129)	(21)	191	349								
Non-GAAP as % of GAAP	84%	98%	107%	100%	163%	76%	68%	82%	118%	80%	102%	102%
Drivers:												
SBC as % of revenue			0.5%	0.5%	1.0%	0.5%	0.5%	0.4%	0.8%	0.4%	0.5%	0.5%
Balance Sheet												
Assets												
Cash and Cash Equivalents	596	870	1,353	2,878	303.0	313.8	305.9	595.6	378.0	535.7	386.4	869.9
Accounts Receivable, Net	2,638	4,483	8,761	12,736	2,135.9	2,287.8	2,439.3	2,638.1	3,167.4	3,338.2	3,855.1	4,482.9
Inventories	2,188	4,572	8,934	12,988	1,788.3	1,918.1	2,046.7	2,188.0	2,672.9	3,401.7	3,928.4	4,571.5
Other current assets	252	479	936	1,361	149.3	251.3	350.9	251.5	178.6	298.7	424.9	478.9
Total Current Assets	5,673	10,403	19,983	29,963	4,376.5	4,771.0	5,142.8	5,673.2	6,396.9	7,574.3	8,594.9	10,403.1
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-
Property, plant & equipment, net	586	1,453	2,349	3,601	536.5	549.4	551.9	586.0	711.3	1,026.3	1,242.8	1,452.5
Operating lease right-of-use assets	124	153	153	153	124.6	123.5	124.5	124.1	149.8	152.7	152.7	152.7
Goodwill	333	333	333	333	340.5	340.8	340.7	333.1	333.0	332.9	332.9	332.9
Other intangible assets, net	266	207	207	136	297.5	286.8	275.4	266.2	255.6	244.9	225.8	207.3
Deferred income taxes	156	277	541	787	86.9	95.2	99.5	156.4	182.3	206.2	238.1	276.9
Other Non-Current Assets	74	336	657	955	72.4	74.4	71.9	74.1	231.1	250.3	289.1	336.1
Total Non-Current Assets	1,540	2,758	4,240	5,965	1,458.4	1,470.1	1,463.9	1,539.9	1,863.1	2,213.3	2,481.4	2,758.5
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-
Total Assets	7,213	13,162	24,223	35,928	5,834.9	6,241.1	6,606.7	7,213.1	8,260.0	9,787.6	11,076.2	13,161.6
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-
Liabilities												
Accounts payable	1,866	5,575	10,895	15,839	1,377.8	1,595.2	1,679.8	1,866.1	3,087.9	3,819.7	4,632.9	5,575.1
Accruals and other current liabilities and provisions	1,897	3,137	6,131	8,913	1,649.7	1,699.0	1,795.1	2,047.5	1,966.8	2,333.5	2,435.0	3,137.3
Operating Liabilities	3,914	8,712	17,026	24,753	3,027.5	3,294.2	3,474.9	3,913.6	5,054.7	6,153.2	7,067.9	8,712.4
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-
Total Debt	777	810	810	810	941.7	875.2	784.1	776.5	772.4	810.4	810.4	810.4
Other non-operating liabilities	131	344	344	344	308.9	313.8	319.1	306.7	334.7	344.4	344.4	344.4
Total Non-Operating Liabilities	1,083	1,155	1,155	1,155	1,250.6	1,189.0	1,103.2	1,083.2	1,107.1	1,154.8	1,154.8	1,154.8
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-
Total Liabilities	4,997	9,867	18,181	25,908	4,278.1	4,483.2	4,578.1	4,996.8	6,161.8	7,308.0	8,222.7	9,867.2
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-
Equity												
Total Equity	2,216	3,294	6,042	10,020	1,556.8	1,757.9	2,028.6	2,216.3	2,098.2	2,479.6	2,853.5	3,294.4
Assets - Liabilities & Equity	-	-	-	-	-	-	-	-	-	-	-	-
Book value per share	\$19.09	28.40	52.30	87.12	\$13.32	\$15.17	\$17.50	\$19.12	\$18.13	\$21.34	24.578146	28.399624
Working Capital												
Revenue	12,391	20,482	40,026	58,190	2,648.6	2,893.4	3,194.0	3,654.9	4,047.0	4,698.6	5,426.2	6,309.8
COGS	10,976	18,143	35,456	51,546	2,357.1	2,555.7	2,819.6	3,243.5	3,588.7	4,159.9	4,804.0	5,590.5
Opex	488	628	1,068	1,512	103.7	123.0	132.2	129.1	133.1	152.4	164.5	177.9
Working Capital												
Accounts Receivable Days	77.7	79.9	79.9	79.9	73.6	72.2	69.7	65.9	71.4	64.8	64.8	64.8
Inventory Days	72.8	92.0	92.0	92.0	69.2	68.5	66.2	61.6	68.0	74.6	74.6	74.6
Accounts Payable Days	62.1	112.2	112.2	112.2	53.3	57.0	54.4	52.5	78.5	83.8	88.0	91.0
Cash Conversion Cycle	88.4	59.7	59.7	59.7	89.5	83.7	81.6	74.9	60.9	55.7	51.4	48.4
As % of revenue												
Other current assets	2.0%	2.3%	2.3%	2.3%	5.6%	8.7%	11.0%	6.9%	4.4%	6.4%	7.8%	7.6%
Other non-current assets	0.6%	1.6%	1.6%	1.6%	2.7%	2.6%	2.3%	2.0%	5.7%	5.3%	5.3%	5.3%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 15: Arista: Financial Model

Arista Networks - Financial Model		12/31/2025	12/31/2026	12/31/2027	12/31/2028	3/31/2026	6/30/2026	9/30/2026	12/31/2026	3/31/2026	6/30/2026	9/30/2026	12/31/2026	
In US\$ M unless otherwise specified		Source	2025A	2026E	2027E	2028E	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26A	3Q26E	4Q26E
Income Statement														
Non-GAAP Income Statement														
Revenue			9,006	12,676	17,873	22,878	2,004.8	2,204.8	2,398.3	2,487.8	2,709.9	3,035.7	3,324.0	3,607.3
COGS			3,190	4,721	6,702	8,693	720.0	757.8	803.1	909.4	1,018.2	1,111.0	1,246.5	1,345.5
Gross Profit			5,815	7,955	11,171	14,184	1,284.8	1,447.0	1,595.2	1,578.4	1,690.8	1,924.7	2,077.5	2,261.8
Research and development			977	1,187	1,674	2,143	209.4	243.3	251.4	272.5	271.5	278.1	305.8	331.9
Sales and marketing			429	500	705	903	96.7	107.7	118.3	106.6	111.8	118.1	129.6	140.7
General and administrative			94	93	132	169	23.7	22.0	22.4	26.3	21.8	23.1	23.3	25.3
Others			(22)	(41)	(9)	(11)	(2.4)	(2.4)	(8.8)	(8.3)	(8.3)	(8.3)	(10.0)	(14.4)
Opex			1,478	1,740	2,502	3,203	327.4	370.6	383.3	397.1	396.8	411.0	448.7	483.4
Operating Income			4,337	6,215	8,668	10,981	957.4	1,076.4	1,121.9	1,181.3	1,294.0	1,513.7	1,628.7	1,778.4
Other income (expense), net:			403	495	455	455	90.7	88.6	133.5	90.0	110.8	120.3	133.5	90.0
Pre-tax Income			4,740	6,669	9,123	11,436	1,048.1	1,165.0	1,255.4	1,271.3	1,404.8	1,634.0	1,762.2	1,868.4
Income Tax			959	1,428	1,953	2,448	221.9	241.5	258.5	236.7	296.6	332.3	387.7	411.0
Effective Tax Rate %			20.2%	21.4%	21.4%	21.4%	21.2%	20.7%	20.6%	18.6%	21.1%	20.3%	22.0%	22.0%
Net Income			3,781	5,242	7,170	8,988	826.2	923.5	996.9	1,034.6	1,108.2	1,301.7	1,374.5	1,457.4
Diluted Share Count			1,276	1,276	1,277	1,279	1,279.2	1,271.2	1,276.6	1,275.8	1,273.8	1,276.0	1,276.0	1,276.0
Earnings per Share			2.96	4.11	5.61	7.03	0.65	0.73	0.78	0.81	0.87	1.02	1.08	1.14
Balance Sheet														
Assets														
Cash and Cash Equivalents			1,964	5,177.2	12,935.4	22,662.3	1,845	2,226	2,327	1,964	2,790	2,290	3,411.4	5,177.2
Accounts Receivable, Net			1,887	2,796.0	3,942.4	5,046.3	1,436	1,624	1,489	1,887	1,924	2,266	2,733.1	2,796.0
Marketable securities			8,779	12,689.2	17,891.7	22,901.4	6,305	6,619	7,780	8,779	9,564	11,053	11,692.4	12,689.2
Inventories			2,247	2,796.0	3,969.3	5,148.5	1,957	2,059	2,156	2,247	2,380	2,535	2,733.1	2,796.0
Other current assets			1,510	2,339.5	3,298.7	4,222.4	734	976	1,434	1,510	1,900	2,019	2,155.7	2,339.5
Total Current Assets			16,387	25,797.9	42,037.6	59,980.8	12,276	13,504	15,185	16,387	18,557	20,163	22,725.7	25,797.9
Property, plant and equipment, net			203	365.9	219.0	383.0	124	152	173	203	250	313	337.1	365.9
Operating lease right-of-use			416	416.1	416.1	416.1	-	417	416	416	416	416	416.1	416.1
Deferred tax assets			1,774	2,516.5	3,548.2	4,541.7	1,544	1,803	1,865	1,774	1,887	2,002	2,318.8	2,516.5
Other Non-Current Assets			669	908.0	1,280.3	1,638.8	570	659	610	669	546	826	836.7	908.0
Total Non-Current Assets			3,062	4,206.5	5,463.7	6,979.7	2,238	3,031	2,864	3,062	3,100	3,557	3,908.7	4,206.5
Total Assets			19,449	30,004.4	47,501.2	66,960.5	14,515	16,534	18,049	19,449	21,657	23,720	26,634.5	30,004.4
Liabilities														
Short-term debt			-	-	-	-	-	-	-	-	-	-	-	-
Accounts payable			651.7	830.0	1,178.3	1,528.3	389	544	481	652	608	693	900.7	830.0
Short-Term Deferred Revenue			4,002.6	5,976.1	8,426.3	10,785.7	2,073	2,798	3,521	4,003	4,910	5,101	5,506.7	5,976.1
Accrued & Other			722.2	1,173.0	1,654.0	2,117.1	660	720	866	722	1,042	1,025	1,080.9	1,173.0
Total Current Liabilities			5,376.5	7,979.1	11,258.5	14,431.1	3,122	4,051	4,667	5,377	6,560	6,818	7,488.2	7,979.1
Operating lease liabilities			-	-	-	-	-	-	-	-	-	-	-	-
Long-Term Debt			-	-	-	-	-	-	-	-	-	-	-	-
Long-Term Deferred Revenue			1,369.8	1,905.5	2,686.7	3,439.0	1,016	1,274	1,166	1,370	1,289	1,765	1,755.8	1,905.5
Other Non-Current Liabilities			331.8	448.4	632.3	809.4	258	307	310	332	320	339	413	448
Total Non-Current Liabilities			1,701.6	2,353.9	3,319.0	4,248.3	1,273.9	1,581.2	1,475.1	1,701.6	1,609.3	2,104.0	2,169.0	2,353.9
Total Liabilities			7,078.1	10,333.0	14,577.6	18,679.4	4,396	5,633	6,142	7,078	8,169	8,922	9,657.2	10,333.0
Equity														
Total stockholders equity			12,371	19,671.3	32,923.7	48,281.1	10,119	10,902	11,907	12,371	13,487	14,798	16,977.2	19,671.3
Book value per share			9.7	15.4	25.8	37.7	7.9	8.6	9.3	9.7	10.6	11.6	13.3	15.4
Cash Flow														
Cash flows from operating activities														
Net income			3,511.4	5,067.7	7,170.2	8,987.9	813.8	888.8	853.0	955.8	1,022.9	1,212.9	1,374.5	1,457.4
Depreciation and Amortization			72.6	93.5	131.8	168.7	13.8	12.8	23.2	22.8	23.3	23.4	23.4	23.4
Stock-based compensation			439.2	576.1	812.3	1,039.7	93.0	85.2	127.9	133.1	120.9	120.4	160.5	174.2
Deferred income tax			(312.0)	(728.0)	(1,031.7)	(993.5)	(107.1)	(230.8)	135.4	(109.5)	(104.9)	(108.2)	(317.2)	(197.7)
Other, Net			(27.1)	(21.3)	(30.0)	(38.4)	(12.1)	1,132.5	(1,143.9)	(3.6)	(3.4)	(7.2)	(5.1)	(5.6)
Change in Working Capital			687.8	775.6	965.7	895.2	(159.7)	(688.4)	1,272.6	263.3	634.7	(158.3)	(66.9)	366.1
Net cash provided by operating activities			4,371.9	5,763.6	8,018.2	10,059.7	641.7	1,200.1	1,268.2	1,261.9	1,693.5	1,083.0	1,169.3	1,817.9
Sum - Total			-	-	-	-	-	-	-	-	-	-	-	-
Cash flows from investing activities														
Capex			(120)	(184)	(260.0)	(332.8)	(28)	(24)	(30)	(37)	(55)	(30)	(48.0)	(52.1)
Investments			(4,210)	(2,326)	-	-	(738)	(301)	(1,884)	(1,288)	(816)	(1,519)	-	-
Acquisitions & Other			753	(35)	-	-	-	(300)	728	326	5	(40)	-	-
Net cash provided by/(used in) investing activities			(3,576)	(2,545)	(260.0)	(332.8)	(766)	(625)	(1,186)	(999)	(865)	(1,580)	(48.0)	(52.1)
Sum - Total			-	-	-	-	-	-	-	-	-	-	-	-
Cash flows from financing activities														
Debt-related			-	-	-	-	-	-	-	-	-	-	-	-
Buybacks			(1,603)	-	-	-	(787)	(196)	-	(620)	-	-	-	-
Dividends			-	-	-	-	-	-	-	-	-	-	-	-
Financing - other			7	(2)	-	-	(7)	(1)	21	(5)	-	(2)	-	-
Net cash provided by/(used in) financing activities			(1,596)	(2)	-	-	(794)	(197)	21	(626)	-	(2)	-	-
Sum - Total			-	-	-	-	-	-	-	-	-	-	-	-
Cash reconciliation														
Effect of exchange rate changes on cash, cash equivalents and restricted cash			-	(3.6)	-	-	-	-	-	-	-2.6	-1	-	-
Net change in cash, cash equivalents and restricted cash			-	3,213.3	7,758.3	9,726.9	-	-	-	-	825.6	-499.3	1,121.2	1,765.7

Source: Company Filings, Bernstein estimates and analysis

EXHIBIT 16: Cisco: Operating Model

Cisco Systems - Operating Model		12/31/2025	12/31/2026	12/31/2027	10/31/2025	1/31/2026	4/30/2026
In US\$ M unless otherwise specified		2025A	2026A	2027E	1Q26A	2Q26A	3Q26A
Revenue Drivers							
Non-GAAP Revenue							
Networking		28,304	34,668	43,340	7,768	8,294	8,815
Security		8,093	8,232	8,943	1,980	2,018	2,008
Collaboration		4,154	4,300	4,592	1,055	1,054	1,024
Observability		1,055	1,095	1,130	274	277	269
Product		41,608	48,295	58,005	11,077	11,642	12,117
Services		15,046	15,030	15,366	3,806	3,707	3,724
Total Revenue		56,654	63,325	73,371	14,883	15,349	15,841
Inventory Days							
Non-GAAP Revenue Growth							
Revenue growth % (YoY)							
Networking		-3.2%	22.5%	25.0%	15.0%	21.1%	24.7%
Security		59.5%	1.7%	8.6%	-1.8%	-4.4%	-0.2%
Collaboration		1.0%	3.5%	6.8%	-2.8%	5.8%	-0.7%
Observability		26.0%	3.8%	3.2%	6.2%	0.0%	3.1%
Product		6.0%	16.1%	20.1%	9.5%	13.8%	16.8%
Services		3.4%	-0.1%	2.2%	2.1%	-1.3%	-1.4%
Total Revenue Growth (YoY)		5.3%	11.8%	15.9%	7.5%	9.7%	12.0%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 17: Cisco: Financial Model

Cisco Systems - Financial Model In US\$ M unless otherwise specified	12/31/2024	12/31/2025	12/31/2026	12/31/2027	12/31/2028	10/31/2025	10/31/2026	4/30/2026	7/31/2026	10/31/2026	1/31/2027	4/30/2027	7/31/2027
	2024A	2025A	2026A	2027E	2028E	1Q26A	2Q26A	3Q26A	4Q26A	1Q27E	2Q27E	3Q27E	4Q27E
Income Statement													
Non-GAAP Income Statement													
Revenue	53,803	56,654	63,325	73,371	79,987	14,883	15,349	15,841	17,252	18,141	17,714	18,375	19,140
COGS	17,491	18,071	20,933	26,260	28,932	4,747	4,992	5,383	5,811	6,209	6,336	6,646	7,067
Gross Profit	36,312	38,583	42,392	47,111	51,055	10,136	10,357	10,458	11,441	11,931	11,378	11,729	12,073
Research and development	6,667	7,675	7,826	8,438	9,199	1,916	1,935	1,957	2,018	2,086	2,037	2,113	2,201
Sales and marketing	9,518	10,048	10,572	11,095	12,096	2,602	2,637	2,616	2,717	2,776	2,693	2,756	2,871
General and administrative	2,438	2,516	2,304	2,218	2,418	602	570	556	576	561	531	551	574
Others	(688)	(792)	(360)	(289)	(315)	(103)	(96)	(83)	(66)	(72)	(70)	(72)	(75)
Opex	17,935	19,447	20,352	21,462	23,397	5,017	5,046	5,046	5,243	5,352	5,191	5,348	5,571
Operating Income	18,377	19,136	22,040	25,649	27,657	5,119	5,311	5,412	6,198	6,580	6,186	6,381	6,502
Other income (expense), net:	202	(847)	(757)	(750)	(500)	(167)	(196)	(194)	(200)	(150)	(200)	(200)	(200)
Pre-tax Income	18,579	18,289	21,283	24,899	27,157	4,952	5,115	5,218	5,998	6,430	5,986	6,181	6,302
Income Tax	3,429	3,349	4,034	4,606	5,024	941	972	991	1,130	1,190	1,107	1,143	1,166
Net Income	15,150	14,940	17,249	20,293	22,133	4,011	4,143	4,227	4,868	5,240	4,879	5,037	5,136
Diluted Share Count	4,065	4,003	3,986	3,973	3,964	3,993	3,984	3,982	3,984	3,979	3,975	3,971	3,966
Earnings per Share	3.73	3.73	4.33	5.11	5.58	1.00	1.04	1.06	1.22	1.32	1.23	1.27	1.30
Balance Sheet													
Assets													
Cash and Cash Equivalents	7,508	8,346	7,218	6,878	14,868	8,400	7,458	7,083	7,218	7,826	7,425	7,329	6,878
Investments	10,346	7,764	8,700	8,700	8,700	7,336	8,319	9,557	8,700	8,700	8,700	8,700	8,700
ST & LT Financing Receivables	6,714	6,527	8,332	8,332	8,332	6,804	6,642	6,578	8,332	8,332	8,332	8,332	8,332
Non-Operating Assets	24,568	22,637	24,250	23,910	31,900	22,540	22,419	23,218	24,250	24,858	24,457	24,361	23,910
Accounts Receivable, Net	6,685	6,701	7,470	9,439	10,290	4,827	6,606	6,480	7,470	8,151	8,347	8,860	9,439
Inventories	3,373	3,164	5,694	7,745	8,533	3,395	3,920	4,708	5,694	6,261	6,597	7,138	7,745
Other current assets	5,612	5,950	6,191	8,613	9,390	5,833	5,884	5,795	6,191	6,894	7,086	7,718	8,613
Current Operating Assets	15,670	15,815	19,355	25,797	28,214	14,055	16,410	16,983	19,355	21,305	22,030	23,716	25,797
Property, plant and equipment, net	2,090	2,113	2,760	3,523	4,329	2,248	2,351	2,577	2,760	2,972	3,169	3,352	3,523
Acquired intangibles	11,219	9,175	7,557	5,929	4,497	8,713	8,307	7,850	7,557	7,112	6,694	6,300	5,929
Goodwill	58,660	59,136	59,477	59,477	59,477	59,119	59,234	59,292	59,477	59,477	59,477	59,477	59,477
Deferred taxes	6,262	7,356	7,109	8,613	9,390	7,314	7,399	7,558	7,109	7,619	7,617	8,085	8,613
Other Non-Current Assets	5,944	6,059	9,129	10,128	11,042	7,113	7,251	8,068	9,129	9,599	9,373	9,723	10,128
Non-Current Operating Assets	84,175	83,839	86,032	87,671	88,735	84,507	84,542	85,345	86,032	86,779	86,330	86,938	87,671
Total Assets	124,413	122,291	129,637	137,378	148,849	121,102	123,371	125,546	129,637	132,942	132,817	135,015	137,378
Check	-	-	-	-	-	-	-	-	-	-	-	-	-
Liabilities													
Accounts Payable	2,304	2,528	3,366	3,098	3,413	2,418	2,762	2,970	3,366	3,402	3,264	3,205	3,098
Accrued compensation	3,608	3,611	4,057	4,311	4,700	3,064	3,494	3,290	4,057	4,141	4,017	4,138	4,311
Deferred revenue	28,475	28,779	29,781	33,041	36,020	27,969	28,403	28,599	29,781	31,315	30,579	31,720	33,041
Current operating lease liabilities	364	375	-	-	-	403	405	-	-	-	-	-	-
Other current liabilities	5,279	5,045	6,763	6,361	7,008	4,569	5,012	4,730	6,763	6,830	6,653	6,646	6,361
Current Operating Liabilities	40,030	40,338	43,967	46,810	51,141	38,423	40,076	39,589	43,967	45,689	44,512	45,710	46,810
Total Debt	30,962	28,093	29,533	29,533	29,533	28,089	30,086	31,303	29,533	29,533	29,533	29,533	29,533
Income taxes payable	5,424	4,022	2,529	2,529	2,529	4,643	2,319	2,477	2,529	2,529	2,529	2,529	2,529
Other long-term liabilities	2,540	2,995	3,323	2,785	3,027	3,074	3,167	3,316	3,323	3,211	2,959	2,888	2,785
Non-Operating Liabilities	38,926	35,110	35,385	34,847	35,099	35,806	35,572	37,096	35,385	35,273	35,021	34,950	34,847
Total Liabilities	78,956	75,448	79,352	81,658	86,240	74,229	75,648	76,685	79,352	80,962	79,533	80,660	81,658
Check	-	-	-	-	-	-	-	-	-	-	-	-	-
Equity													
Total Equity	45,457	46,843	50,285	55,720	62,609	46,873	47,723	48,861	50,285	51,980	53,283	54,355	55,720
Assets - Liabilities & Equity	-	-	-	-	-	-	-	-	-	-	-	-	-
Book value per share	-	-	-	14.03	15.80	11.74	11.98	12.27	12.62	13.06	13.41	13.69	14.05
Cash Flow													
Cash flows from operating activities													
Net income	2,162	2,550	3,859	14,202	15,490	2,860	3,175	3,373	3,859	3,929	3,488	3,232	3,553
Adjustments to reconcile net income to cash provided by operating activities	-	-	-	-	-	-	-	-	-	-	-	-	-
Depreciation and Amortization	823	635	638	2,465	2,370	606	659	637	638	633	622	610	600
Stock-based compensation	800	948	927	3,869	4,218	1,055	934	914	927	925	975	998	972
Deferred income tax	(727)	(341)	443	(1,504)	(777)	25	(89)	(153)	443	(510)	2	(468)	(528)
Other, Net	6	(63)	(846)	(538)	251	(181)	(47)	(261)	(846)	(112)	(252)	(71)	(103)
Change in operating assets	(2,135)	(2,034)	(4,242)	(7,442)	(3,330)	719	(2,188)	(839)	(4,242)	(2,420)	(499)	(2,036)	(2,486)
Change in operating liabilities	2,801	2,559	4,607	2,843	4,331	(1,872)	(622)	(224)	4,607	1,722	(1,177)	1,197	1,100
Net cash provided by operating activities	3,730	4,234	5,386	13,896	22,554	3,212	1,822	3,757	5,386	4,167	3,158	3,463	3,108
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash flows from investing activities													
Capital Expenditure and Capitalized Software Development	(198)	(217)	(390)	(1,600)	(1,744)	(323)	(263)	(414)	(390)	(400)	(400)	(400)	(400)
Other	(3)	14	(20)	-	-	(22)	14	2	(20)	-	-	-	-
Acquisitions of Businesses and Assets, Net of divestitures and returns	(266)	80	(870)	-	-	(6)	(50)	(466)	(670)	-	-	-	-
Purchases (net of maturities and sales) of investments	(361)	(150)	816	-	-	507	(987)	(1,192)	816	-	-	-	-
Net cash provided by/(used in) investing activities	(828)	(273)	(264)	(1,600)	(1,744)	156	(1,306)	(2,070)	(264)	(400)	(400)	(400)	(400)
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash flows from financing activities													
Equity issuances and repurchases	(1,875)	(1,148)	(1,561)	(6,000)	(6,000)	(2,276)	(1,793)	(1,544)	(1,561)	(1,500)	(1,500)	(1,500)	(1,500)
Debt issuances and repayments	(1,041)	(1,176)	(1,785)	-	-	31	1,968	1,199	(1,785)	-	-	-	-
Dividends	(1,006)	(1,625)	(1,659)	(6,636)	(6,820)	(1,617)	(1,617)	(1,660)	(1,659)	(1,659)	(1,659)	(1,659)	(1,659)
Other	15	-	(1)	-	-	(1)	3	(34)	(1)	-	-	-	-
Net cash provided by/(used in) financing activities	(4,507)	(3,949)	(5,006)	(12,636)	(12,820)	(3,863)	(1,439)	(2,039)	(5,006)	(3,159)	(3,159)	(3,159)	(3,159)
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash reconciliation													
Effect of exchange rate changes on cash, cash equivalents and restricted cash	(31)	(43)	(29)	-	-	(14)	(19)	(24)	28	-	-	-	-
Net change in cash, cash equivalents and restricted cash	(2,785)	68	(1,683)	(340)	7,990	(509)	(842)	(376)	144	608	(401)	(96)	(451)

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 18: Lumentum Operating Model

Lumentum Holdings Inc - Operating Model <i>In US\$ M unless otherwise specified</i>		6/30/2025	6/30/2026	6/30/2027	6/30/2028	9/30/2024	12/31/2024	3/31/2025	6/30/2025	9/30/2025	12/31/2025	3/31/2026	6/30/2026	9/30/2026	12/31/2026	3/31/2027	6/30/2027
		2025A	2026A	2027E	2028E	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26A	3Q26A	4Q26A	1Q27E	2Q27E	3Q27E	4Q27E
Revenue Drivers																	
Revenue																	
Components		1,116.3	2,005.6	3,928.3	5,892.4	231.4	263.7	300.8	320.4	379.2	443.7	533.3	649.4	777.4	909.6	1,039.9	1,201.4
Systems		528.7	1,008.4	2,574.2	4,836.7	105.5	138.5	124.4	160.3	154.6	221.8	275.1	356.9	477.1	587.8	698.1	811.2
Total Revenue		1,645.0	3,014.0	6,502.5	10,729.1	336.9	402.2	425.2	480.7	533.8	665.5	808.4	1,006.3	1,254.4	1,497.4	1,738.1	2,012.6
Revenue Growth																	
Revenue growth % (YoY)																	
Components			79.7%	95.9%	50.0%					63.9%	68.3%	77.3%	102.7%	105.0%	105.0%	95.0%	85.0%
Systems			90.7%	155.3%	87.9%					46.5%	60.1%	121.1%	122.6%	208.6%	165.0%	153.8%	127.3%
Total Revenue Growth (YoY)		21.0%	83.2%	115.7%	65.0%	6.1%	9.7%	16.0%	55.9%	58.4%	65.5%	90.1%	109.3%	135.9%	125.9%	115.0%	100.0%
Industry Model growth					66.3%												
Revenue growth % (QoQ)																	
Components							14.0%	14.1%	6.5%	18.4%	17.0%	20.2%	21.8%	19.7%	17.0%	14.3%	15.5%
Systems							31.3%	-10.2%	28.9%	-3.6%	43.5%	24.0%	29.7%	33.7%	23.2%	18.8%	16.2%
Total Revenue Growth (QoQ)						9.3%	19.4%	5.7%	13.1%	11.0%	24.7%	21.5%	24.5%	24.7%	19.4%	16.1%	15.8%
Revenue Mix																	
Revenue mix % (YoY)																	
Components		67.9%	66.5%	60.4%	54.9%	68.7%	65.6%	70.7%	66.7%	71.0%	66.7%	66.0%	64.5%	62.0%	60.7%	59.8%	59.7%
Systems		32.1%	33.5%	39.6%	45.1%	31.3%	34.4%	29.3%	33.3%	29.0%	33.3%	34.0%	35.5%	38.0%	39.3%	40.2%	40.3%

Source: Company filings, Bernstein estimates and analysis

EXHIBIT 19: Lumentum Financial Model

Lumentum Holdings Inc - Financial Model <i>In US\$ M unless otherwise specified</i>	6/30/2025	6/30/2026	6/30/2027	6/30/2028	9/30/2025	12/31/2025	3/31/2026	6/30/2026	9/30/2026	12/31/2026	3/31/2027	6/30/2027
	2025A	2026A	2027E	2028E	1Q26A	2Q26A	3Q26A	4Q26A	1Q27E	2Q27E	3Q27E	4Q27E
Income Statement												
Non-GAAP Income Statement												
Revenue	1,645.0	3,014.0	6,502.5	10,729.1	533.8	665.5	808.4	1,006.3	1,254.4	1,497.4	1,738.1	2,012.6
COGS	1,073.5	1,627.3	3,021.1	4,720.8	323.5	382.9	421.5	499.4	602.1	703.8	799.5	915.7
Gross Profit	571.5	1,386.7	3,481.3	6,008.3	210.3	282.6	386.9	506.9	652.3	793.6	938.6	1,096.9
Research and development	256.0	304.8	488.9	772.5	69.0	69.9	78.4	87.5	100.4	112.3	130.4	145.9
Sales and marketing	155.4	184.9	228.8	300.4	41.5	45.0	47.8	50.6	50.2	52.4	60.8	65.4
Others	52.9	(0.0)	-	-	(0.0)	-	-	-	-	-	-	-
Opex	464.3	489.7	717.8	1,072.9	110.5	114.9	126.2	138.1	150.5	164.7	191.2	211.3
Operating Income	160.1	897.0	2,763.6	4,935.4	99.8	167.7	260.7	368.8	501.8	628.9	747.4	885.5
Other income (expense), net:	15.2	39.9	40.0	40.0	3.7	4.6	9.6	22.0	10.0	10.0	10.0	10.0
Pre-tax Income	175.3	936.9	2,803.6	4,895.4	103.5	172.3	270.3	390.8	511.8	638.9	757.4	895.5
Income Tax	28.9	154.6	462.7	808.0	17.1	28.4	44.6	64.5	84.5	105.4	125.0	147.8
Effective Tax Rate %	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%
Net Income	146.4	782.3	2,340.9	4,087.5	86.4	143.9	225.7	326.3	427.3	533.4	632.4	747.7
Diluted Share Count	71.6	93.4	104.5	116.9	78.3	86.1	95.2	101.1	102.3	103.5	104.9	106.3
Earnings per Share	2.05	8.37	22.40	34.96	1.10	1.67	2.37	3.23	\$4.18	\$5.15	\$6.03	\$7.04
Growth												
Balance Sheet												
Assets												
Accounts Receivable, Net	250	520	1,040.6	1,386.8	307	377	442	520	648.6	774.2	898.7	1,040.6
Inventories	470	692	1,003.5	1,293.4	532	570	633	692	791.8	886.9	963.8	1,003.5
Prepayments and Other Current Assets	120	212	423.2	564.0	125	181	149	212	263.8	314.9	365.5	423.2
Total Current Operating Assets	840	1,424	2,467.3	3,244.2	964	1,128	1,223	1,424	1,704.2	1,976.0	2,227.9	2,467.3
PP&E, Net	-	-	1,886.3	3,132.2	795	814	964	1,159	1,297.1	1,464.2	1,659.3	1,886.3
Goodwill	-	-	1,069.3	1,069.3	31	30	27	1,069	1,069.3	1,069.3	1,069.3	1,069.3
Other Intangible Assets, Net	-	-	209.1	120.7	1,061	1,061	1,066	327	292.4	261.5	233.8	209.1
Operating Lease Right-of-Use Assets	-	-	58.4	77.8	-	-	-	29	36.4	43.4	50.4	58.4
Deferred Tax Assets	-	-	1,061.8	1,415.1	431	397	363	531	661.8	790.0	917.0	1,061.8
Other Non-Current Operating Assets	-	-	60.4	80.5	6	15	14	30	37.6	44.9	52.2	60.4
Total Non-Current Operating Assets	-	-	4,345.3	5,895.7	2,323	2,316	2,434	3,146	3,394.6	3,673.3	3,982.0	4,345.3
Cash and Cash Equivalents	-	-	2,201.1	4,493.3	772.9	657.7	2617.8	2043.5	2,041.1	2,043.0	2,090.2	2,201.1
Short-Term Investments	-	-	694.9	694.9	349	498	555	695	694.9	694.9	694.9	694.9
Restricted cash	-	-	-	-	205	206	198	-	-	-	-	-
Total Non-Operating Assets	-	-	2,896.0	5,188.2	1,326	1,361	3,370	2,738	2,736.0	2,737.9	2,785.1	2,896.0
Total Assets	-	-	9,708.6	14,328.1	4,613.1	4,805.3	7,027.9	7,307.5	7,834.8	8,387.2	8,995.0	9,708.6
Check	-	-	-	-	-	-	-	-	-	-	-	-
Liabilities												
Accounts Payable	-	-	1,103.9	1,422.7	279	347	393	567	725.9	848.4	963.8	1,103.9
Accrued Payroll and Related Expenses	-	-	292.6	390.0	69	85	110	146	182.4	217.7	252.7	292.6
Accrued Expenses	-	-	129.8	173.0	46	39	49	65	80.9	96.6	112.1	129.8
Operating Lease Liabilities	-	-	67.6	90.1	37	35	32	34	42.1	50.3	58.4	67.6
Other Current Liabilities	-	-	183.0	243.9	42	43	63	92	114.1	136.2	158.0	183.0
Total Operating Liabilities	-	-	1,776.9	2,319.6	472	550	646	904	1,145.3	1,349.1	1,545.0	1,776.9
Other Non-Current Liabilities	-	-	115.2	115.2	111	116	121	115	115.2	115.2	115.2	115.2
Debt	-	-	1,637.4	1,637.4	3,244	3,287	3,282	1,637	1,637.4	1,637.4	1,637.4	1,637.4
Deferred Tax Liabilities	-	-	7.0	7.0	6	6	5	7	7.0	7.0	7.0	7.0
Total Non-Operating Liabilities	-	-	1,759.6	1,759.6	3361	3409	3408	1760	1,759.6	1,759.6	1,759.6	1,759.6
Total Liabilities	-	-	3,536.5	4,079.2	3,832	3,959	4,055	2,664	2,904.9	3,108.7	3,304.6	3,536.5
Check	-	-	-	-	-	-	-	-	-	-	-	-
Stockholders' Equity												
Common Stock	-	-	0.1	0.1	0	0	0	0	0.1	0.1	0.1	0.1
Additional Paid-in Capital	-	-	12,686.1	13,068.8	1,629	1,616	3,601	12,430	12,483.8	12,542.5	12,610.7	12,686.1
Retained Earnings	-	-	(6,524.2)	(2,830.1)	(857)	(779)	(635)	(7,796)	(7,564.1)	(7,274.2)	(6,930.5)	(6,524.2)
Accumulated Other Comprehensive Income	-	-	10.1	10.1	9	9	7	10	10.1	10.1	10.1	10.1
Total Stockholders' Equity	-	-	6,172.1	10,248.9	781	847	2,973	4,644	4,929.9	5,278.5	5,690.4	6,172.1
Check	-	-	-	-	-	-	-	-	-	-	-	-
Total Liabilities and Stockholders' Equity	-	-	9,708.6	14,328.1	4,613.1	4,805.3	7,027.9	7,307.4	7,834.8	8,387.2	8,995.0	9,708.6
Cash Flow												
Cash flows from operating activities												
Net income	26	(6,935)	1,272.1	3,694.1	4	78	144	(7,162)	232.2	289.9	343.6	406.3
Depreciation	104	129	155.0	209.6	28	31	33	38	32.2	36.0	40.7	46.1
Amortization	152	138	117.8	88.4	34	34	34	36	34.6	30.9	27.6	24.7
Stock-based compensation	177	170	256.0	382.7	42	45	42	41	53.7	58.7	68.2	75.4
Other	(19)	7,541	-	-	4	11	(2)	7,528	-	-	-	-
Change in Working Capital	(315)	(292)	(761)	(627)	(55)	(73)	(47)	(118)	(185)	(211)	(197)	(169)
Net cash provided by operating activities	126	751	1,039.8	3,747.8	58	127	204	363	167.8	205.0	283.0	384.0
Sum - Total	-	-	-	-	-	-	-	0	-	-	-	-
Cash flows from investing activities												
Capex, net	(231)	(409)	(882)	(1,456)	(76)	(84)	(85)	(164)	(170.2)	(203.1)	(235.8)	(273.0)
Acquisitions	-	(38)	-	-	-	-	(38)	-	-	-	-	-
Investing	99	(339)	-	-	8	(148)	(59)	(140)	-	-	-	-
Other	48	0	-	-	-	-	-	0	-	-	-	-
Net cash provided by/(used in) investing activities	(84)	(786)	(882)	(1,456)	(68)	(231)	(182)	(304)	(170.2)	(203.1)	(235.8)	(273.0)
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-
Cash flows from financing activities												
Debt and preferreds	83.5	1556.9	-	-	1,153	50	988	(633)	-	-	-	-
Common Dividends	-41.7	0	-	-	(47)	(60)	107	-	-	-	-	-
Equity issuances and buybacks	0	0	-	-	(843)	-	843	-	-	-	-	-
Net cash provided by/(used in) financing activities	42	1,557	-	-	262	(11)	1,938	(633)	-	-	-	-
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-
US NETWORKING & COMMUNICATIONS EQUIPMENT												
Effect of exchange rate changes on cash, cash equiv.	0	-	-	-	-	-	-	-	-	-	-	-
Net change in cash, cash equivalents and restric	84	1,523	158	2,292.2	252	(115)	1,960	(574)	(2.4)	1.9	47.2	110.9

Source: Company filings, Bernstein estimates and analysis

EXHIBIT 20: Coherent Operating Model

Coherent Corp - Balance Sheet			12/31/2025 12/31/2026 12/31/2027			9/30/2024 12/31/2024 3/31/2025			6/30/2025 9/30/2025 12/31/2025			3/31/2026 6/30/2026 9/30/2026			12/31/2026 3/31/2027 6/30/2027		
In US\$ M unless otherwise specified			2025A	2026A	2027E	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26A	3Q26A	4Q26A	1Q27E	2Q27E	3Q27E	4Q27E
Revenue Drivers																	
Revenue																	
Datacenter & Communications	3,755.2	5,274.6	8,955.5			863.6	904.5	969.0	1,018.0	1,090.0	1,208.0	1,361.6	1,615.0	1,874.8	2,113.9	2,382.8	2,584.0
Industrial	2,054.6	1,843.6	1,891.4			484.5	530.1	529.0	511.0	491.4	477.7	444.0	430.5	497.3	498.8	452.0	443.3
Total Revenue	5,810	7,118.1	10,846.9			1,348.1	1,434.7	1,498.0	1,529.5	1,581.4	1,685.6	1,805.6	2,045.5	2,372.1	2,612.7	2,834.8	3,027.3
Revenue Growth																	
Revenue growth % (YoY)																	
Datacenter			41.4%							23.0%	36.0%	37.0%	66.0%				
Communications			39.1%							30.7%	30.2%	45.8%	48.3%				
Datacenter & Communications			40.5%							26.2%	33.5%	40.5%	58.6%	72.0%	75.0%	75.0%	60.0%
Industrial			-10.3%	69.8%	2.6%					1.4%	-9.9%	-16.1%	-15.8%	1.2%	4.4%	1.8%	3.0%
Total Revenue Growth (YoY)	23.4%	22.5%	52.4%			28.0%	26.8%	23.9%	16.4%	17.3%	17.5%	20.5%	33.7%	50.0%	55.0%	57.0%	48.0%
Industry Model Growth																	
Revenue growth % (QoQ)																	
Datacenter							3.1%	12.2%	2.3%	4.0%	14.0%	13.0%	23.9%				
Communications							7.0%	0.4%	9.2%	11.4%	6.7%	12.3%	11.2%				
Datacenter & Communications							4.7%	7.1%	5.1%	7.1%	10.8%	12.7%	18.6%				
Industrial							9.4%	-0.2%	-3.4%	-3.8%	-2.8%	-7.1%	-3.0%	16.1%	12.8%	12.7%	8.4%
Total Revenue Growth (QoQ)						2.6%	6.4%	4.4%	2.1%	3.4%	6.6%	7.1%	13.3%	16.0%	10.1%	8.5%	6.8%
Operating Profit Decomposition																	
Statement of Operations																	
Total revenue	5,810.3	7,118.1	10,846.9			1,348.1	1,434.7	1,498.0	1,529.5	1,581.4	1,685.6	1,805.6	2,045.5	2,372.1	2,612.7	2,834.8	3,027.3
Cost of revenue	3,595	4,311.6	6,399.7			839.5	886.7	921.2	947.4	968.8	1,028.5	1,091.4	1,222.9	1,399.5	1,541.5	1,672.5	1,786.1
Gross profit	2,215	2,806.5	4,447.2			508.6	548.0	576.8	582.1	612.6	657.1	714.2	822.6	972.6	1,071.2	1,162.3	1,241.2
Operating expenses:																	
Research and development	553	693.4	1,084.7			124.3	137.4	141.2	149.7	147.9	158.8	178.4	208.3	237.2	261.3	283.5	302.7
Sales and marketing	611	656.3	813.5			151.8	145.7	156.3	157.3	155.8	162.3	169.7	168.5	177.9	196.0	212.6	227.1
Others	0	(0.1)	-			0.1	0.0	0.2	(0.0)	0.1	(0.1)	-	-	-	-	-	-
Total operating expenses	1,163	1,349.7	1,898.2			276.0	283.1	297.4	307.0	303.6	321.2	348.1	376.8	415.1	457.2	496.1	529.8
Income from operations	1,052	1,456.8	2,549.0			232.6	264.9	279.4	275.1	309.0	335.9	366.1	445.8	557.4	614.0	666.2	711.4

Source: Company filings, Bernstein estimates and analysis

EXHIBIT 21: Coherent Financial Model

Coherent Corp - Financial Model	12/31/2024	12/31/2025	12/31/2026	12/31/2027	12/31/2028	9/30/2025	12/31/2025	3/31/2026	6/30/2026	9/30/2026	12/31/2026	3/31/2027	6/30/2027
In US\$ M unless otherwise specified	2024A	2025A	2026A	2027E	2028E	1Q26A	2Q26A	3Q26A	4Q26A	1Q27E	2Q27E	3Q27E	4Q27E
Income Statement													
Non-GAAP Income Statement													
Revenue	4,767.7	5,810.3	7,118.1	10,846.9	16,270.4	1,581.4	1,685.6	1,805.6	2,045.5	2,372.1	2,612.7	2,834.8	3,027.3
COGS	3,011.6	3,594.8	4,311.6	6,399.7	9,274.1	968.8	1,028.5	1,081.4	1,222.9	1,399.5	1,541.5	1,672.5	1,786.1
Gross Profit	1,696.1	2,215.5	2,806.5	4,447.2	6,996.3	612.6	657.1	714.2	822.6	972.6	1,071.2	1,162.3	1,241.2
Research and development	441.2	552.6	693.4	1,084.7	1,627.0	147.9	158.8	178.4	208.3	237.2	261.3	283.5	302.7
Sales and marketing	545.4	611.2	656.3	813.5	1,220.3	155.8	162.3	169.7	168.5	177.9	196.0	212.6	227.1
Others	(0.1)	0.3	(0.1)	-	-	0.1	(0.1)	-	-	-	-	-	-
Opex	986.7	1,163.5	1,349.7	1,898.2	2,847.3	303.6	321.2	348.1	376.8	415.1	457.2	496.1	529.8
Operating Income	709.4	1,052.0	1,456.8	2,549.0	4,148.9	309.0	335.9	366.1	445.8	557.4	614.0	666.2	711.4
Other income (expense), net:	(232.3)	(167.4)	(118.1)	(167.1)	(167.1)	(37.6)	(33.2)	(29.7)	(17.6)	(44.5)	(45.2)	(41.3)	(36.1)
Pre-tax income	477.1	884.6	1,338.7	2,381.9	3,981.9	271.4	302.7	336.4	428.2	512.9	568.8	624.9	675.4
Income Tax	(98.5)	(184.0)	(254.7)	(452.6)	(756.6)	(51.6)	(57.6)	(64.1)	(81.4)	(97.5)	(108.1)	(118.7)	(128.3)
Effective Tax Rate %	-20.6%	-20.8%	-19.0%	-19.0%	-19.0%	-19.0%	-19.0%	-19.1%	-19.0%	-19.0%	-19.0%	-19.0%	-19.0%
Non-controlling interest	2.8	3.5	12.3	5.7	5.7	1.1	2.9	3.9	4.4	(0.2)	3.2	1.6	1.2
Net Income	381.3	704.1	1,096.4	1,935.1	3,231.0	220.9	248.0	276.2	351.2	415.2	463.9	507.8	548.2
Diluted Share Count	226.25	195.29	196.47	203.52	204.97	190.7	192.8	196.4	202.2	202.7	203.2	203.8	204.4
Earnings per Share	1.69	3.61	5.58	9.51	15.76	1.16	1.28	1.41	1.74	2.05	2.28	2.49	2.68
Balance Sheet													
Assets													
Accounts receivable	948.5	964.1	1,343.3	1,988.1	2,982.1	1,027	1,055	1,188	1,343.3	1,557.8	1,715.8	1,861.6	1,988.1
Inventories	1,286.4	1,437.6	2,581.0	3,769.7	5,462.9	1,633	1,848	2,127	2,581.0	2,953.8	3,253.4	3,530.0	3,769.7
Prepaid and other current assets	425.1	607.4	979.0	1,448.9	2,173.4	507	592	671	979.0	1,135.3	1,250.5	1,356.8	1,448.9
Current Operating Assets	2,560.1	3,009.1	4,903.3	7,206.7	10,618.4	3,167	3,494	3,986	4,903.3	5,646.9	6,219.6	6,748.4	7,206.7
Property, plant and equipment, net	1,817.3	1,877.5	2,999.3	3,689.4	5,423.5	1,944	2,117	2,420	2,999.3	3,199.9	3,380.5	3,543.1	3,689.4
Goodwill	4,464.3	4,471.1	4,375.6	4,495.7	4,331.5	4,475	4,463	4,402	4,375.6	4,619.5	4,577.8	4,536.6	4,495.7
Intangible Assets, Net	3,503.2	3,204.7	2,884.5	2,963.7	2,855.4	3,133	3,064	2,958	2,884.5	3,045.3	3,017.8	2,990.6	2,963.7
Other Non-Current Assets	313.1	662.2	474.3	702.0	1,052.9	373	352	398	474.3	550.0	605.8	657.3	702.0
Non-Current Operating Assets	10,097.9	10,215.6	10,733.7	11,850.8	13,663.3	9,925	9,996	10,178	10,733.7	11,414.7	11,582.0	11,727.6	11,850.8
Cash and cash equivalents	926.0	909.2	1,162.0	725.2	135.3	852.8	863.7	1,592.7	1,162.0	544.9	534.7	592.6	725.2
Restricted cash, total current and non-current	863.7	723.7	606.4	606.4	606.4	700.1	665.1	633.0	606.4	606.4	606.4	606.4	606.4
Investments, short and long-term	-	-	825.0	825.0	825.0	-	-	825.0	825.0	825.0	825.0	825.0	825.0
Deferred Tax	41.0	53.4	69.4	69.4	69.4	53.9	69.1	72.1	69.4	69.4	69.4	69.4	69.4
Non-Operating Assets	1,830.7	1,686.3	2,662.8	2,226.0	1,636.1	1,607	1,598	3,123	2,662.8	2,045.7	2,035.5	2,093.4	2,226.0
Total Assets	14,488.6	14,910.9	18,299.9	21,283.5	25,917.8	14,699	15,088	17,287	18,299.9	19,107.3	19,837.1	20,569.4	21,283.5
Liabilities													
Accounts payable	631.5	847.0	1,905.4	2,783.0	4,032.9	953.9	1,118.5	1,343.4	1,905.4	2,180.6	2,401.8	2,606.0	2,783.0
Accruals and other current liabilities	597.9	718.0	879.3	1,301.4	1,952.0	692.3	683.1	708.6	879.3	1,019.7	1,123.1	1,218.6	1,301.4
Operating lease liabilities, current and non-current	202.9	206.7	316.2	468.0	702.0	198.1	194.7	231.3	316.2	366.7	403.9	438.2	468.0
Other liabilities	225.4	259.3	198.2	293.3	440.0	229.9	208.1	188.2	198.2	229.8	253.2	274.7	293.3
Operating Liabilities	1,657.8	2,031.0	3,299.1	4,845.6	7,127.0	2,074.1	2,204.3	2,471.5	3,299.1	3,796.8	4,181.9	4,537.4	4,845.6
Debt, short and long term	4,100.2	3,686.9	3,222.2	3,222.2	3,222.2	3,307.8	3,351.9	3,193.8	3,222.2	3,222.2	3,222.2	3,222.2	3,222.2
Deferred Income Taxes	784.4	711.7	540.6	540.6	540.6	629.5	643.3	605.8	540.6	540.6	540.6	540.6	540.6
Capital Lease Obligations	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-Operating Liabilities	4,884.6	4,398.6	3,762.8	3,762.8	3,762.8	3,937.3	3,995.1	3,799.6	3,762.8	3,762.8	3,762.8	3,762.8	3,762.8
Total Liabilities	6,542.4	6,429.7	7,061.7	8,608.4	10,889.8	6,011.4	6,199.4	6,271.0	7,061.7	7,559.6	7,944.7	8,300.2	8,608.4
Equity													
Total Mezzanine Equity	2,364.8	2,483.3	-	-	-	2,505	-	-	-	-	-	-	-
Total Coherent Corp. Shareholders' Equity	5,210.1	5,644.5	10,903.5	12,340.3	14,693.3	5,830	6,539	10,677	10,904	11,212.9	11,557.7	11,934.4	12,340.3
Noncontrolling interests	371.4	353.5	334.7	334.7	334.7	352	349	339	335	334.7	334.7	334.7	334.7
Total Equity	7,946.3	8,481.3	11,238.2	12,675.0	15,028.0	8,687	8,888	11,016	11,238	11,547.6	11,892.4	12,269.1	12,675.0
Book value per share	52.07	54.54	55.58	62.02	73.32	45.56	46.11	56.09	55.58	56.97	58.52	60.20	62.02
Cash Flow													
Cash flows from operating activities													
Net income	(158.8)	30.1	786.9	1,165.3	1,945.7	225.2	143.8	181.7	236.2	250.0	279.4	305.8	330.1
Depreciation	271.6	250.8	241.6	1,309.9	1,517.9	53.0	55.5	62.4	70.7	299.4	319.4	337.4	353.7
Amortization	288.2	302.8	280.3	275.0	268.7	69.4	70.5	70.5	69.9	69.7	69.1	68.4	67.8
Stock-based compensation	126.0	160.2	186.5	271.5	407.3	44.1	42.8	49.1	50.4	59.4	65.4	71.0	75.8
Other, Net	(85.7)	97.8	(313.6)	(701.7)	(459.6)	(187.2)	4.7	(65.2)	(65.8)	(549.7)	(55.8)	(51.5)	(44.6)
Change in Operating Assets and Liabilities	104.3	(208.1)	(1,102.2)	(756.9)	(1,130.4)	(158.6)	(259.4)	(392.3)	(291.9)	(245.9)	(187.6)	(173.2)	(150.2)
Net cash provided by operating activities	545.7	633.6	79.5	1,563.2	2,549.7	46.0	57.9	(93.8)	69.4	(117.1)	489.8	557.9	632.6
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-	-
Check	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash flows from investing activities													
Capital Expenditure and Capitalized Software Develop	(346.8)	(440.8)	(1,102.9)	(2,000.0)	(3,139.6)	(103.9)	(153.6)	(289.7)	(555.7)	(500.0)	(500.0)	(500.0)	(500.0)
Acquisitions, net of divestitures	-	27.0	429.8	-	-	391.1	(5.3)	51.5	(7.5)	-	-	-	-
Purchases of investments, net of sales	-	-	(735.6)	-	-	9.6	21.9	(807.7)	40.6	-	-	-	-
Other	(0.0)	(0.0)	(5.0)	-	-	(0.0)	(0.0)	(5.0)	0.0	-	-	-	-
Net cash provided by/(used in) investing activities	(350.7)	(414.2)	(1,413.7)	(2,000.0)	(3,139.6)	296.8	(138.5)	(1,049.4)	(522.6)	(500.0)	(500.0)	(500.0)	(500.0)
Sum - Total	4.0	-	(1.0)	-	-	-	1.0	(2.0)	-	-	-	-	-
Cash flows from financing activities													
Debt proceeds net of payments	(209.8)	(383.3)	(487.3)	-	-	(317.2)	215.5	(411.9)	26.3	-	-	-	-
Equity issuance net of buybacks	42.3	49.6	2,052.4	-	-	21.3	8.8	2,021.7	0.6	-	-	-	-
Dividends	-	(11.4)	(11.4)	-	-	(11.4)	-	-	0.0	-	-	-	-
Other	925.8	(106.6)	(76.4)	-	-	(114.2)	(181.2)	244.6	(25.6)	-	-	-	-
Net cash provided by/(used in) financing activities	758.3	(451.7)	1,477.1	-	-	(421.5)	43.1	1,854.3	1.2	-	-	-	-
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-	-
Check	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash reconciliation													
Effect of exchange rate changes on cash, cash equiv.	(1.2)	75.6	(7.4)	-	-	(1.3)	13.5	(14.2)	(5.4)	-	-	-	-
Net change in cash, cash equivalents and rest	952.1	(156.8)	135.5	(436.8)	(589.9)	(80.0)	(24.1)	697.0	(457.4)	(617.1)	(10.2)	57.9	132.6

Source: Company filings, Bernstein estimates and analysis

EXHIBIT 22: Ciena: Operating Model

Ciena Corporation - Operating Model in US\$ M unless otherwise specified	12/31/2013	12/31/2014	12/31/2015	12/31/2016	12/31/2017	12/31/2018	12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024	12/31/2025	12/31/2026	12/31/2027	12/31/2028	1Q26A	2Q26A	3Q26A	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E
	2013A	2014A	2015A	2016A	2017A	2018A	2019A	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E	2028E	1Q26A	2Q26A	3Q26A	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E
Revenue Drivers																								
Segment Revenue																								
Optical Networking			1,734.7	1,815.9	1,939.6	2,194.5	2,562.8	2,547.6	2,553.5	3,246.2	4,568.7	6,170.0	8,297.3				1,023.2	1,099.8	1,191.3	1,254.4	1,340.4	1,440.7	1,620.2	1,768.7
Routing and Switching			229.2	252.9	313.1	283.5	348.5	267.5	271.8	430.1	636.3	890.7	1,202.5				126.0	174.2	164.4	171.7	171.4	236.9	231.8	250.6
Networking Platforms			1,963.9	2,068.8	2,252.7	2,478.0	2,911.3	2,815.1	2,825.3	3,676.4	5,205.0	7,060.7	9,499.7				1,149.2	1,274.0	1,355.7	1,426.1	1,511.8	1,677.7	1,852.0	2,019.3
Software Product			38.5	48.7	65.9	77.4	72.5	99.7	107.3	146.2	142.4	160.1	176.1				30.7	37.5	34.6	39.7	37.5	39.7	40.2	43.6
Total Product Revenue	1,680.1	1,865.8	2,002.4	2,117.5	2,318.6	2,565.5	2,983.8	2,914.8	2,932.6	3,822.6	5,347.3	7,220.7	9,675.8				1,179.9	1,311.5	1,390.3	1,465.7	1,549.3	1,716.4	1,892.2	2,062.9
Maintenance, Support, and Learning			224.1	229.0	227.4	245.2	261.3	269.4	283.4	317.2	365.7	438.8	526.6				87.6	89.3	89.8	99.0	105.1	107.2	107.8	118.8
Implementation			115.5	130.9	117.5	128.8	148.2	152.0	171.5	246.0	324.7	389.6	469.5				67.9	79.7	87.9	89.2	81.5	96.6	105.5	107.0
Advisory and Enablement			41.8	46.8	42.9	41.6	41.3	35.3	33.7	50.5	59.5	71.4	85.7				8.6	10.4	15.9	24.6	10.3	12.5	19.1	29.5
Global Services	381.5	406.7	387.9	415.6	459.9	456.7	488.5	613.8	749.9	899.8	1,124.8						164.1	179.4	193.6	212.8	196.9	215.3	232.3	255.3
Software Services			61.8	76.4	95.2	113.3	137.4	169.7	199.5	333.1	342.7	373.5	407.3				63.1	79.9	87.3	92.5	87.5	90.3	93.6	101.8
Total Services	402.4	422.5	443.3	483.1	483.1	528.8	588.3	617.4	688.1	946.9	1,092.6	1,273.3	1,489.7				247.2	259.3	280.9	305.3	284.5	305.6	326.1	357.1
Total Revenue	2,082.5	2,288.3	2,445.7	2,600.6	2,801.7	3,094.3	3,572.1	3,532.2	3,620.7	4,769.5	6,439.9	8,494.0	11,165.5				1,427.0	1,570.7	1,671.1	1,771.0	1,833.7	2,022.0	2,218.3	2,420.1
Platform Software and Services																	93.3	93.9	96.6	105.8	100.1	103.2	107.2	116.3
Blue Planet Automation Software and Services																	20.4	23.4	23.2	26.4	25.0	25.8	26.8	29.1
Total Software	200.7	209.9	260.4	306.8	479.4	485.0	533.5	586.9									113.7	117.3	121.8	132.2	125.1	129.0	134.0	145.4
																	17%	17%	17%	17%	16%	15%	15%	15%
Revenue Growth																								
Revenue growth % (YoY)																								
Optical Networking				4.7%	6.8%	13.1%	16.8%	-0.6%	0.2%	22.8%	40.7%	35.0%	34.5%				40.6%	42.2%	46.1%	35.0%	31.0%	31.0%	36.0%	41.0%
Routing and Switching				10.3%	23.8%	-9.5%	22.9%	-23.2%	1.6%	7.7%	47.9%	40.0%	35.0%				35.2%	87.8%	30.6%	45.0%	38.0%	36.0%	41.0%	46.0%
Networking Platforms				5.3%	8.9%	10.0%	17.5%	-3.3%	0.4%	20.8%	41.6%	35.7%	34.5%				40.0%	47.1%	44.0%	36.1%	31.8%	31.7%	36.6%	43.6%
Software Product				26.6%	35.3%	32.7%	-17.1%	37.5%	7.6%	25.0%	-2.6%	12.4%	10.0%				-8.8%	16.2%	-2.5%	-11.6%	22.3%	3.3%	16.3%	10.0%
Total Product Revenue				5.7%	9.5%	10.6%	16.3%	-2.3%	0.6%	21.0%	39.9%	35.0%	34.0%				38.0%	46.0%	42.3%	34.2%	31.3%	30.9%	36.1%	40.7%
Maintenance, Support, and Learning				2.2%	-0.7%	7.8%	6.6%	3.1%	5.2%	4.7%	15.3%	20.0%	20.0%				17.5%	12.4%	11.2%	20.0%	20.0%	20.0%	20.0%	20.0%
Implementation				13.3%	-10.2%	9.6%	15.1%	2.5%	12.8%	33.5%	32.0%	20.0%	20.0%				42.4%	37.0%	33.4%	20.0%	20.0%	20.0%	20.0%	20.0%
Advisory and Enablement				11.9%	-6.3%	-3.2%	-0.6%	-14.6%	-4.6%	1.4%	17.9%	20.0%	20.0%				10.8%	21.6%	16.5%	20.0%	20.0%	20.0%	20.0%	20.0%
Global Services				6.6%	-4.6%	7.1%	8.5%	1.3%	7.0%	14.2%	22.2%	20.0%	25.0%				26.2%	22.7%	20.8%	20.0%	20.0%	20.0%	20.0%	20.0%
Software Services				23.6%	24.7%	18.9%	21.3%	16.9%	24.2%	4.5%	2.9%	9.0%	8.1%				-5.0%	-1.6%	6.0%	12.5%	5.4%	13.1%	7.5%	10.0%
Total Services				5.0%	4.9%	9.0%	0.0%	9.5%	11.2%	4.9%	11.5%	10.6%	15.4%	16.5%	17.0%		13.7%	14.1%	15.8%	17.6%	15.1%	17.9%	16.1%	17.0%
Total YoY Revenue				9.9%	6.9%	6.3%	7.7%	10.4%	15.4%	-1.1%	2.5%	18.8%	35.0%	31.9%	31.5%		33.1%	39.5%	37.0%	31.0%	28.5%	28.7%	32.7%	36.6%
Platform Software and Services																	-1.9%	9.9%	9.6%	13.3%	7.2%	9.9%	8.7%	10.0%
Blue Planet Automation Software and Services																	-21.6%	-16.3%	-16.6%	-21.7%	22.6%	10.3%	15.5%	10.0%
Total Software																	-6.1%	3.4%	3.4%	4.6%	10.9%	10.6%	10.0%	10.0%

Source: Company filings, Bernstein estimates and analysis

EXHIBIT 23: Ciena: Financial Model

Ciena Corporation - Financial Statement	2025A	2026E	2027E	2028E	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26A	3Q26A	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E
Income Statement																
Non-GAAP Income Statement																
Revenue	4,769.5	6,439.9	8,494.0	11,165.5	1,072.3	1,125.9	1,219.4	1,352.0	1,427.0	1,570.7	1,671.1	1,771.0	1,833.7	2,022.0	2,218.3	2,420.1
COGS	2,731.2	3,533.1	4,541.5	5,806.1	593.1	664.8	708.1	765.2	788.9	865.9	895.4	983.0	1,006.1	1,092.6	1,185.1	1,257.7
Gross Profit	2,038.3	2,906.8	3,952.5	5,359.5	479.2	461.1	511.3	586.8	638.2	704.9	775.8	788.1	827.6	929.3	1,033.1	1,162.4
R&D	784.0	870.1	947.8	1,016.1	178.4	197.8	195.1	212.6	204.9	219.3	216.5	229.4	229.2	232.5	244.0	242.0
S&M	529.3	546.7	579.1	669.9	124.9	126.0	135.4	142.9	134.1	133.6	137.3	141.7	142.1	147.6	144.2	145.2
G&A	193.3	196.4	212.0	323.8	44.1	45.6	49.6	54.0	46.6	47.3	48.6	53.9	52.9	63.9	46.0	49.2
Other	(0.8)	(7.2)	-	-	-	-	-	(0.8)	(2.4)	(2.4)	(2.4)	-	-	-	-	-
Opex	1,505.8	1,606.0	1,738.9	2,009.8	347.4	369.5	380.2	408.7	393.2	397.8	400.0	425.0	424.2	444.1	434.2	436.4
Operating Income	532.5	1,300.8	2,213.6	3,349.66	131.8	91.6	131.1	178.0	255.0	307.1	375.7	363.1	403.4	485.3	598.9	726.0
OI&E	(40.5)	2.6	35.5	35.46	(11.3)	(13.8)	(7.7)	(7.6)	(8.3)	(6.8)	8.9	8.9	8.9	8.9	8.9	8.9
Pre-tax Income	492.0	1,303.4	2,249.1	3,314.20	120.5	77.8	123.4	170.4	246.7	300.2	384.6	371.9	412.3	494.1	607.8	734.9
Income Tax	108.2	260.7	449.8	662.84	26.5	17.1	27.1	37.5	49.3	60.1	76.9	74.4	82.5	98.8	121.6	147.0
Effective Tax Rate	22.0%	20.0%	20.0%	20.0%	22.0%	22.0%	22.0%	22.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%
Net Income	383.8	1,042.7	1,799.3	2,651.36	94.0	60.7	96.2	132.9	197.3	240.2	307.7	297.5	329.8	395.3	486.2	587.9
Diluted Share Count	145.3	145.9	144.4	142.5	145.9	145.0	144.5	145.5	145.8	146.3	146.0	145.4	145.1	144.5	144.3	143.9
Earnings per Share	2.64	7.15	12.46	18.61	0.64	0.42	0.67	0.91	1.35	1.64	2.11	2.05	2.27	2.73	3.37	4.09
Balance Sheet																
Assets																
Accounts Receivable, Net	976	1,307	1,786	2,348	939	930	1,026	976	967	1,053	1,234	1,307	1,354	1,493	1,638	1,786
Inventories	826	957	1,225	1,566	845	874	860	826	846	808	872	957	980	1,064	1,154	1,225
Prepaid Expenses and other	455	559	763	1,003	496	506	474	455	428	504	527	559	578	638	700	763
Current Operating Assets	2,257	2,823	3,774	4,917	2,280	2,310	2,360	2,257	2,241	2,365	2,633	2,823	2,912	3,194	3,491	3,774
Property, plant and equipment, net	387	521	712	936	320	349	368	387	438	445	492	521	539	595	653	712
Operating right-of-use assets	39	46	46	46	25	39	40	39	40	38	46	46	46	46	46	46
Goodwill and Intangibles	745	689	640	577	601	592	584	745	734	740	702	689	676	664	652	640
Other Non-Current Assets	186	200	274	360	162	159	154	186	191	191	189	200	207	229	251	274
Non-Current Operating Assets	1,357	1,456	1,671	1,918	1,108	1,139	1,146	1,357	1,404	1,397	1,428	1,456	1,469	1,533	1,601	1,671
Cash and cash equivalents	1,092	2,387	2,218	2,092	875	950	1,056	1,092	1,123	1,045	2,446	2,387	2,373	2,299	2,244	2,218
Deferred taxes	885	1,140	1,461	1,921	868	864	852	885	878	874	1,093	1,140	1,162	1,261	1,362	1,461
Short and long-term investments	273	438	596	755	442	396	335	273	246	358	398	438	477	517	557	596
Other	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-Operating Assets	2,250	3,965	4,275	4,768	2,186	2,210	2,243	2,250	2,248	2,277	3,936	3,965	4,012	4,078	4,162	4,275
Total Assets	5,865	8,244	9,721	11,603	5,573	5,659	5,749	5,865	5,892	6,039	7,997	8,244	8,393	8,805	9,254	9,721
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Liabilities & Equity																
Accounts payable	543	693	947	1,245.10	396	419	465	543	547	607	654	693	718	791	868	947
Accrued liabilities	531	539	736	967	362	381	436	531	396	440	508	539	558	615	675	736
ST & LT deferred revenues	304	330	451	593	257	305	277	304	391	340	311	330	342	377	413	451
ST & LT Operating lease liabilities	46	54	74	97	36	48	49	46	47	44	51	54	56	62	68	74
Operating liabilities	1,424	1,616	2,208	2,902	1,051	1,154	1,227	1,424	1,381	1,431	1,524	1,616	1,673	1,844	2,023	2,208
Total debt	1,536	3,230	3,230	3,000	1,543	1,540	1,538	1,536	1,536	1,531	3,230	3,230	3,230	3,230	3,230	3,230
Other LT obligations	175	186	186	186	186	189	186	175	182	185	186	186	186	186	186	186
Other	-	(15)	(138)	(138)	-	(15)	-	-	-	(15)	(15)	(15)	(58)	(98)	(98)	(138)
Non-Operating Liabilities	1,711	3,401	3,278	3,048	1,729	1,729	1,734	1,711	1,719	1,716	3,416	3,401	3,397	3,358	3,318	3,278
Total Liabilities	3,135	5,017	5,486	5,950	2,780	2,883	2,961	3,135	3,100	3,147	4,941	5,017	5,070	5,203	5,342	5,486
Sum - Total	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Equity	2,729	3,228	4,235	5,653	2,793	2,776	2,787	2,729	2,792	2,892	3,057	3,228	3,323	3,602	3,912	4,235
Assets - Liabilities & Equity	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Book value per share	18.79	22.12	29.33	39.67	19.14	19.15	19.29	18.76	19.15	19.77	20.94	22.20	22.90	24.92	27.11	29.43
Cash Flow																
Cash flows from operating activities																
Net income	123	905	1,668	2,157	45	9	50	19	150	218	266	270	301	364	452	551
Adjustments to reconcile net income to cash provided by operating activities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Depreciation	104	141	183	250	25	25	27	27	32	35	35	39	41	43	47	52
Amortization	36	50	68	63	9	9	9	10	12	10	13	14	15	16	18	19
Stock-based compensation	185	225	294	387	41	48	47	49	50	55	58	61	64	70	77	84
Deferred income tax	(23)	2	(321)	(460)	(17)	7	(11)	(1)	(7)	(4)	60	(48)	(22)	(99)	(100)	(100)
Provisions	73	102	-	-	17	18	16	22	30	29	43	-	-	-	-	-
Other, Net	88	(1)	-	-	(7)	0	5	90	(2)	2	(1)	-	-	-	-	-
Change in operating assets and liabilities	220	(537)	(574)	240	(8)	42	32	154	(38)	(87)	(286)	(127)	(44)	(175)	(186)	(169)
Net cash provided by operating activities	806	894	1,318	2,638	104	157	174	371	228	260	196	210	355	219	308	437
Cash flows from investing activities																
Capex	(141)	(263)	(374)	(474)	(27)	(29)	(40)	(45)	(74)	(41)	(80)	(68)	(60)	(98)	(105)	(111)
Acquisition and divestitures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net purchases of investments	134	(162)	(159)	(159)	(42)	48	65	64	29	(112)	(40)	(40)	(40)	(40)	(40)	(40)
Other	(235)	2	-	-	2	1	(5)	(232)	1	(1)	2	-	-	-	-	-
Net cash provided by (used in) investing activity	(241)	(423)	(533)	(633)	(67)	20	20	(214)	(44)	(154)	(117)	(108)	(99)	(138)	(145)	(151)
Cash flows from financing activities																
Debt transactions	(12)	1,570	-	(230)	(3)	(3)	(3)	(3)	-	(6)	1,575	-	-	-	-	-
Repurchase (net of issuance) of stock	(390)	(739)	(955)	(1,901)	(90)	(104)	(81)	(116)	(153)	(174)	(251)	(160)	(270)	(155)	(219)	(312)
Cash dividends paid	(4)	(4)	-	-	(1)	(1)	(1)	(1)	(1)	(1)	(1)	(1)	-	-	-	-
Financing - other	(4)	(4)	-	-	(1)	(1)	(1)	(1)	(1)	(1)	(1)	(1)	-	-	-	-
Net cash provided by (used in) financing activity	(406)	827	(955)	(2,131)	(93)	(108)	(85)	(120)	(155)	(181)	1,323	(160)	(270)	(155)	(219)	(312)
Cash reconciliation																
Effect of exchange rate changes on cash, cash eq	(2)	(3)	-	-	(3)	6	(3)	(2)	2	(3)	(1)	0	0	0	0	0
Net change in cash, cash equivalents and restr	157	1,295	(170)	(126)	(60)	75	106	36	31	(78)	1,401	(59)	(15)	(73)	(56)	(26)
Net change in cash minus sum of cash flows	-	-	-	-	-	-	-	-	0	-	-	-	-	-	-	-
Cash, cash equivalents and restricted cash at start	935	1,092	2,387	2,218	935	875	950	1,056	1,092	1,124	1,045	2,446	2,387	2,373	2,299	2,244
Cash, cash equivalents and restricted cash at e	1,092	2,387	2,218	2,092	875	950	1,056	1,092	1,124	1,045	2,446	2,387	2,373	2,299	2,244	2,244

EXHIBIT 24: Corning Financial Model

Corning Incorporated - Financial Model in US\$ M unless otherwise specified	12/31/2025	12/31/2026	12/31/2027	12/31/2028	3/31/2026	6/30/2026	9/30/2026	12/31/2026
	2025A	2026E	2027E	2028E	1Q26A	2Q26A	3Q26E	4Q26E
Income Statement								
Non-GAAP Income Statement								
Revenue	16,408	19,525	22,870	28,097	4,345	4,738	4,985	5,456
COGS	10,115	12,041	13,744	16,383	2,645	2,864	3,050	3,482
Gross Profit	6,293	7,483	9,127	11,715	1,700	1,874	1,935	1,975
SG&A	2,028	2,255	2,641	3,245	546	590	586	533
R&D	1,105	1,145	1,341	1,648	278	295	299	273
Amortization of purchased intangibles	-	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-	-
Opex	3,133	3,400	3,983	4,893	824	885	885	806
Operating Income	3,160	4,083	5,144	6,822	876	989	1,050	1,169
Other income (expense), net:	(257)	(350)	(350)	(350)	-79	-91	(90)	-90
Pre-tax Income	2,903	3,733	4,794	6,472	797	898	960	1,079
Income Tax	(704)	(918)	(1,135)	(1,475)	-185	-218	(243)	-273
Net Income	2,199	2,815	3,659	4,997	612	680	717	806
Net loss attributable to NCI	(146)	(225)	(225)	(225)	-37	-50	(65)	-73
Net income excluding NCI	2,345	3,040	3,884	5,222	649	730	782	879
Effective Tax Rate % (adjusted for NCI)	19.2%	18.6%	19.0%	19.3%	18.5%	18.5%	19%	18.5%
Diluted Share Count	867	875	879	885	871	875	876	877
Earnings per Share	2.54	3.22	4.16	5.65	0.70	0.78	0.82	0.92
Balance Sheet								
Assets								
Trade Accounts Receivable, Net	2,779	3,584	6,266	6,928	2,676	2,932	3,237	3,584
Inventories	3,077	4,031	4,031	4,142	3,279	3,426	3,609	4,031
Prepaid Expenses and Other	1,554	2,186	2,287	2,529	1,816	2,055	2,103	2,186
Total Current Operating Assets	7,410	9,801	12,595	14,394	7,771	8,413	8,950	9,801
Property, Plant and Equipment, Net	14,825	15,576	16,336	18,732	14,785	14,927	15,255	15,576
Goodwill and Other Intangibles	3,146	3,241	2,952	2,966	3,111	3,041	3,063	3,044
Deferred Taxes	1,515	1,183	833	993	1,569	1,610	1,037	1,183
Other Non-Current Assets and Prior Disc	2,554	2,782	3,259	4,004	2,262	2,416	2,542	2,782
Total Non-Current Operating Assets	22,040	22,582	23,380	25,595	21,727	22,039	21,897	22,582
Cash and Cash Equivalents	1,526	2,470	3,172	5,706	1,755	2,504	3,130	2,470
Total Assets	30,976	34,853	39,247	46,695	31,253	32,956	33,976	34,853
Liabilities								
Accounts Payable	1,834	2,780	2,824	3,142	2,251	2,361	2,538	2,780
Post-Retirement Benefits Other Than Pen	314	374	438	539	311	325	342	374
Accruals and Other Current Liabilities	2,890	3,587	4,202	5,162	2,410	2,992	3,053	3,587
Other Non-Current Liabilities	5,097	6,419	7,519	9,238	4,959	5,727	6,003	6,419
Total Operating Liabilities	10,235	13,161	14,984	18,081	9,931	11,405	11,935	13,161
Current Portion of Long-Term Debt	804	-	-	-	1,255	668	-	-
Long-Term Debt	7,630	-	-	-	7,718	7,756	-	-
Total Debt	8,434	8,424	8,424	8,424	8,973	8,424	8,424	8,424
Total Liabilities	18,669	21,585	23,408	26,505	18,904	19,829	20,359	21,585
Equity								
Total Corning Shareholders Equity	11,807	12,700	15,272	19,623	11,812	12,569	13,050	12,700
Non-controlling interest	500	567	567	567	537	567	567	567
Total Equity	12,307	13,267	15,839	20,190	12,349	13,127	13,617	13,267
Total Liabilities and Shareholders' Equity	30,976	34,853	39,247	46,695	31,253	32,956	33,976	34,853
Cash Flow								
Cash flows from operating activities								
Net income	1,742	1,399	2,927	4,497	408	609	611	-229
Adjustments to reconcile net income to cash provided by operating activities:								
Depreciation	1,742	1,399	1,527	1,601	334	368	372	380
Amortization	110	91	88	86	23	23	23	23
Stock-based compensation	286	508	639	848	115	135	122	136
Deferred income tax	(355)	326	350	(160)	-62	-39	573	(147)
Translated Earnings Contract Gain + Translat	(150)	(74)	-	-	16	-90	-	-
Translated (Gain) Loss on Foreign Debt	52	(5)	-	-	-6	1	-	-
Changes in Operating Assets and Liabilities:								
Changes in Trade Accounts Receivable	(749)	(907)	(2,682)	(662)	12	-267	(309)	(346)
Changes in Inventories	(243)	(982)	(111)	(795)	-232	-145	(183)	(422)
Change in Prepaid & other	-	-	(101)	(242)	-56	-88	(48)	(83)
Change in other non-current	-	(366)	(477)	(745)	-	-	(126)	(240)
Changes in AP and Other Current Liab.	571	1,210	658	1,278	-80	275	237	777
Customer Deposits and Govt Incentives	268	709	-	-	-171	880	-	-
Deferred Income	(58)	(102)	-	-	-38	-64	-	-
Post Retirement Benefits Other Than Pen	-	49	64	100	-	-	17	32,319
Other + Prior Disclosures	232	910	1,100	1,719	99	119	276	417
Net cash provided by operating activities	2,695	3,945	3,983	7,525	363	1,717	1,568	298
Sum - Total	3,448	4,166	3,983	7,525	362	1,717	1,568	-
Check	-	-	-	-	0	0	-	-
As % of operating income								
SBC	9%	12%	12%	12%	13%	14%	12%	12%
Cash flows from investing activities								
Capital Expenditures	(1,282)	(2,154)	(2,287)	(3,997)	-332	-422	(700)	(700)
Proceeds from CHIPS Act Incentives	-	8	-	-	8	0	-	-
Other + Prior Disclosures	39	184	-	-	121	63	-	-
Net cash provided by/(used in) investing	(1,243)	(1,962)	(2,287)	(3,997)	-203	-359	(700)	(700)
Sum - Total	(1,243)	(1,962)	(2,287)	(3,997)	-203	-359	(700)	-700
Check	-	-	-	-	0	0	-	0
Cash flows from financing activities								
Repayments of Debt, net of issuances	(4)	(242)	-	-	414	-656	-	-
Dividends Paid	(999)	(994)	(994)	(994)	-244	-251	(243)	(257)
Purchases of stock, net of issuances	(122)	23	-	-	14	9	-	-
Others	(547)	142	-	-	-125	267	-	-
Net cash provided by/(used in) financing	(1,672)	(1,071)	(994)	(994)	59	-631	(243)	(257)
Sum - Total	(1,672)	(1,071)	(994)	(994)	-	-	-	-
Cash reconciliation								
Effect of exchange rate changes on cash, cas	18	-	-	-	-5	5	-	0
Net change in cash, cash equivalents and	(202)	911	702	2,534	213	732	626	-659

Source: Company filings, Bernstein updates and analysis
US NETWORKING & COMMUNICATIONS EQUIPMENT

EXHIBIT 25: Corning Segment Model

Corning Incorporated - Operating Model		12/31/2025	12/31/2026	12/31/2027	12/31/2028	3/31/2026	6/30/2026	9/30/2026	12/31/2026
In US\$ M unless otherwise specified		2025A	2026E	2027E	2028E	1Q26A	2Q26A	3Q26E	4Q26E
Revenue Drivers									
Revenue									
Enterprise		3,195.0	5,340.6	7,826.9	12,230.8	962.0	1,269.0	1,329.6	1,780.0
Carrier		3,079.0	3,400.5	3,536.5	3,678.0	884.0	803.0	853.8	859.7
Optical Communications		6,274.0	8,741.1	11,363.4	15,908.8	1,846.0	2,072.0	2,183.4	2,639.7
Glass Innovations		5,908.0	5,987.0	6,166.6	6,413.2	1,420.0	1,463.0	1,560.0	1,544.0
Automotive		1,794.0	1,828.8	1,920.3	2,016.3	437.0	471.0	467.6	453.2
Solar		1,231.0	1,809.0	2,261.3	2,600.4	370.0	438.0	478.5	522.5
Life Sciences & Emerging Growth Businesses		1,201.0	1,158.6	1,158.6	1,158.6	272.0	294.0	295.6	297.0
Prior Segments		-	-	-	-	-	-	-	-
Total Revenue		16,408.0	19,524.5	22,870.1	28,097.4	4,345.0	4,738.0	4,985.2	5,456.3
Revenue Growth									
					1.0712				
Revenue growth % (YoY)									
Enterprise		65.8%	67.2%	46.6%	56.3%	36.5%	65.0%	60.0%	100.0%
Carrier		12.8%	10.4%	4.0%	4.0%	36.0%	0.8%	4.0%	6.0%
Optical Communications		34.7%	39.3%	30.0%	40.0%	36.2%	32.3%	32.2%	55.2%
Glass Innovations		0.3%	1.3%	3.0%	4.0%	1.0%	1.4%	0.0%	3.0%
Automotive		-2.8%	1.9%	5.0%	5.0%	-0.7%	2.4%	3.0%	3.0%
Solar			47.0%	25.0%	15.0%	79.6%	89.6%	50.0%	10.0%
Life Sciences & Emerging Growth Businesses			-3.5%	0.0%	0.0%	0.0%	-14.8%	3.0%	0.0%
Total Revenue Growth (YoY)		13.4%	19.0%	17.1%	22.9%	18.1%	17.1%	16.7%	23.7%
Reference:									
Industry model estimate: Optical Communications				29.7%	39.9%				
Revenue growth % (QoQ)									
Enterprise									
Carrier									
Optical Communications						8.5%	12.2%	5.4%	20.9%
Glass Innovations						-5.3%	3.0%	6.6%	-1.0%
Automotive						-0.7%	7.8%	-0.7%	-3.1%
Solar						-22.1%	18.4%	9.2%	9.2%
Life Sciences & Emerging Growth Businesses						-8.4%	8.1%	0.5%	0.5%
Total Revenue Growth (QoQ)						-1.5%	9.0%	5.2%	9.5%

Source: Company filings, Bernstein estimates and analysis

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